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by Muhammad Al Jasser

1. The Digital Choices Shaping our Children's Health

Author: Emmanuel Macron **Published:** Jul 1, 2026 **Link:** View Original

PARIS/GENEVA— From social media and online gaming to generative AI systems, digital environments are powerful determinants of people's health. That is especially true of children and young people. Around the world, childhood is being reprogrammed by digital technologies that shape how young people learn, play, and connect.

Our task is not to celebrate or condemn technology. It is to face a simple truth: our digital environment not only promises far-reaching benefits but also poses grave risks for children's health and development. Our responsibility is to maximize the first while preventing the second. It is not too late to act, but it is too late for merely incremental adjustments.

Digital tools can expand opportunity by supporting learning, communication, and access to health services, especially for children in remote or crisis-affected settings. For many young people, online spaces also offer creativity, community, and belonging, particularly for those facing exclusion offline.

But these benefits are not guaranteed; they depend heavily on who has access, how technologies are designed, and whose interests they serve.

Governments are increasingly recognizing that protecting children online is a public-health imperative. Australia has implemented the world's first requirement that social-media platforms prevent children under 16 from holding accounts, while France is advancing legislation to prohibit access to social media for those under 15. Indonesia has banned access for children under 16, Spain has announced plans to do so, and Ireland is working with European Union partners to develop age restrictions and age-assurance systems focused on protecting under-16s.

The United Kingdom, too, recently announced plans to ban social-media platforms from offering services to under-16s, alongside additional safeguards like restrictions on livestreaming and contacts from strangers. And Canada has introduced legislation to restrict access to social media for children under 16 while requiring stronger safety-by-design protections and accountability from platforms.

Together, these measures reflect a growing global consensus that digital environments require effective governance, age-appropriate design, and stronger safeguards to protect child health. The World Health Organization is supporting this by strengthening the research needed to develop a clearer understanding of the impact of today's and tomorrow's technologies, providing technical advice to countries, and promoting safe, equitable digital health environments.

Solutions are needed because digital environments are not neutral. How they are designed, governed, and monetized shapes many aspects of our lives, not least our health.

For example, repeated exposure to stereotyped, sexualized, violent, or discriminatory content shapes how children understand themselves and the world around them. Algorithms increasingly filter health information to increase attention rather than accuracy, allowing misleading claims to spread. The collection and use of personal data, particularly for profiling and targeted marketing, raise concerns about privacy, manipulation, and well-being.

Current evidence associates excessive digital exposure with problems such as anxiety, depression, poor sleep, increased aggression, and, in more severe cases, suicidality, especially among vulnerable adolescents. Digital marketing on platforms may expose people to promotion of harmful products, such as tobacco, alcohol, and gambling platforms.

Social media, gaming, and AI use can deepen loneliness and displace offline relationships. Prolonged use contributes to sedentary behavior and reduced sleep, which are known risk factors for noncommunicable diseases.

Online sexual exploitation and abuse are also increasing globally, alongside a sharp rise in child sexual abuse material, AI-generated abuse imagery, and deepfake sexual or bullying content. These have profound and lasting consequences for mental health, trust, and safety.

Commercial practices increase all these risks. Many platforms are designed to maximize engagement, without adequate protection from exposure to harmful content or features to protect children's physical and mental health.

Reducing exposure to illegal or extreme and graphic content is essential. But children's well-being requires more than the absence of harm. It depends on stable relationships, appropriate boundaries, physical activity, and opportunities for real-world social connection. Risks multiply when digital environments disrupt—rather than support—healthy development.

Generative AI is a major force multiplier in terms of both risks and opportunities for child well-being. Used responsibly, purpose-built AI tools may support education, accessibility, and health. But their long-term impact on children's expectations of relationships, empathy, or self-regulation are unclear. As long as that remains true, a precautionary approach is not anti-innovation. It is pro-child.

Digital balance is part of the solution. While digital environments require regulation, transparency, age-appropriate design, stronger safety and trust features, and accountability, evidence must keep pace with technology, requiring independent, longitudinal research across income settings and regions.

Above all, we must listen to today's youth. As active users of technology, they can help digital environments evolve responsibly. The online and offline worlds now form a single space where digital tools can support healthy development —or crowd it out. Young people should bring their own lived experiences to bear in order to help shape appropriate guardrails. Parents, caregivers, schools, and communities must also be part of this conversation.

This process demands sustained collaboration across governments, industry, civil society, and public-health institutions, built on a shared commitment to maximizing benefits and minimizing harms. More transparency, data sharing, health-promoting design choices, and corporate support for effective safety standards, especially for minors, are essential. The WHO can play its convening role and influence in setting norms and standards.

Our children and young people are not experimental subjects, a captive market, or a commodity. Together, we can and must shape digital environments that protect and support their healthy development. The choices we make now will echo for generations.

2. The Mismeasure of Europe's Economy

Author: Sami Mahroum **Published:** Jul 1, 2026 **Link:** View Original

DUBAI—The debate over European competitiveness has long focused on the widening gap with the United States. But that is the wrong question. What matters is not whether the gap is widening, but the fundamentally different mechanisms through which each economy creates wealth: Europe derives much of its wealth from accumulated assets; the US relies on the continual creation of new ones.

This distinction is at the heart of the debate over how to measure the US-EU productivity gap. Paul Krugman argues that, in terms of purchasing power parity, Europe's relative position has remained broadly stable. Fellow Nobel laureate Philippe Aghion and his co-authors, for their part, contend that at constant prices, Europe has steadily lost ground since the 1990s. Both, however, are measuring the gap; neither explains what drives it.

Europe is indeed less productive than the US, and the gap has widened by constant-price measures. But Europe is also richer than it was a decade ago: output per capita has risen, and the European Union's employment rate reached a record 76.1% in 2025. Moreover, Europe does not feel poorer, since much of its wealth is embodied in its cities, institutions, and reputation.

What has slowed, then, is not wealth accumulation itself but the rate at which it is renewed. Slower renewal, rather than decline, is the defining feature of what might be called a "stock economy," in contrast to America's "flow economy."

"Stock" and "flow" are ideal types of wealth creation, not accounting categories. A stock economy generates steady returns from assets accumulated over time: historic cities, supplier networks, legacy brands, regulatory credibility, technical know-how, and the trust that lowers transaction costs. A flow economy must continually create new wealth through frontier innovation, entrepreneurship, and rapid scaling. Europe relies heavily on inherited coordination, whereas America depends on perpetual renewal.

To be sure, Europe's stock is far from passive. Dense supplier networks, reputational capital, and institutional credibility generate genuine productive efficiencies. Once such assets are in place, however, some of the value they generate takes the form of economic rents instead of rewards for productive investment. Landowners in prime locations, incumbents sustained by legacy brands, and protected sectors capture that surplus by controlling inherited assets. The same stock that creates efficiency also fosters entrenchment.

Milan's fashion ecosystem illustrates how accumulated cultural resources translate into what economists call "amenity value." As Leïla Kebir and Olivier Crevoisier's work on the cultural geography of Swiss watchmaking shows, such inherited cultural resources continue to shape contemporary production. Simply by carrying a Milan address, a new fashion label can command an instant premium, as the location itself signals heritage, taste, and authenticity.

The distinction between stock and flow economies has significant implications for the productivity-measurement debate. Because national accounts record both actual and imputed rents as output, part of what both Krugman and Aghion treat as productivity gains reflects returns on inherited assets rather than newly created wealth.

The productivity gap, in other words, reflects not only varying levels of dynamism but also the extent to which output comes from inherited assets rather than new wealth creation. A study of the economic impact of UNESCO World Heritage designations in Italy found that listed localities experienced faster growth in both resident populations and the share of high-income taxpayers, fueling demand for luxury housing. Strip away those passive legacy rents, and Europe’s dynamic core might look thinner than either Krugman or Aghion acknowledges. Viewed this way, Europe is less an economy in decline than one living comfortably off a remarkable inheritance while struggling to convert it into new growth.

Nowhere is the distinction clearer than in each economy’s signature industries. Europe’s defining global industry is luxury: a stock-based sector in which heritage and reputation become more valuable with time. America’s economic flagships are software and, increasingly, AI, where value depends on pushing the technological frontier.

The limits of the stock economy become apparent when firms try to scale. While Europe is home to more than 35,000 startups and many world-class companies, scaling is fundamentally a flow process. Europe’s capital is abundant but rooted, its talent is embedded in existing institutions, and its markets remain fragmented.

As a result, European savings are largely invested abroad. According to the European Parliament, roughly €300 billion ($343 billion) in savings leave the EU each year, much of it funding American innovation. In his 2024 report on European competitiveness, former Italian Prime Minister Mario Draghi reached a similar conclusion: Europe struggles to translate its scientific excellence, vast savings, and industrial depth into rapidly scaling firms.

Yet Europe has several institutional mechanisms for turning stock into flow. The first is the corporate spin-off, which allows incumbents to serve as incubators. ASML, the Dutch maker of the advanced lithography machines essential to semiconductor manufacturing, emerged as a joint venture between Philips and ASM International before becoming an independent company. NXP and Signify were spun off from Philips, and Infineon from Siemens. Each converted accumulated capabilities into firms built for a new technological cycle.

The second mechanism is the joint venture, which pools established capabilities into a new industrial champion. Airbus, created by combining Europe’s national aerospace champions, became Boeing’s only serious rival. The creation of STMicroelectronics through the merger of French and Italian semiconductor firms followed the same logic.

Last but not least is the recycling of accumulated wealth into patient capital. The Novo Nordisk Foundation, for example, channels the returns from one generation’s success into the next generation of research and firms.

These mechanisms are not European versions of the Silicon Valley playbook. They represent Europe’s own way of turning inherited assets into new growth engines. Europe’s mistake over the past few decades has been trying to graft a venture-capital-driven flow economy onto a stock-based socioeconomic architecture built around powerful incumbents, stable rents, and incremental change. The result has been a series of sporadic VC booms that failed to transform the broader economy.

Rather than imitating Silicon Valley wholesale, Europe’s challenge is to build institutions capable of unlocking trapped resources: incumbents that spin off new firms, national champions that pool capabilities, and foundations and family capital that support startups as they scale.

Seen through this lens, the Krugman-Aghion debate is less about choosing the right productivity metric than about what those metrics leave out. Although they do a good job of measuring productivity at the technological frontier, they do not capture how much of Europe’s apparent performance rests on inherited assets whose productive potential remains unrealized.

3. Oligarchy's Ancient Origins

Author: Matt Simonton **Published:** Jul 1, 2026 **Link:** View Original

PRINCETON—In the autumn of 403 BCE, democracy triumphed in Athens. It was a hard-fought victory. The 27-year conflict with Sparta known as the Peloponnesian War had ended the previous year with the besieged Athenians capitulating. An authoritarian regime called the Thirty then took control of the city and, despite their claims of "virtue" and "justice," soon executed more than 1,500 people.

This paroxysm of violence inspired a democratic resistance movement, comprised in part of working-class resident foreigners and slaves. After nearly a year of civil war, the rebels had won—a remarkable moment of democratic restoration that still resonates today. To celebrate, they offered a sacrifice on the Acropolis to the city's patron goddess, Athena.

But far from the festivities, a very different kind of commemoration was taking place. Remnants of the Thirty were setting up a monument to their fallen leader, Critias. An older relative of the philosopher Plato, Critias was an intellectual, poet, and political theorist who virulently opposed the city's democracy. He had spearheaded the Thirty until his death in battle earlier that year.

To pay tribute to Critias and the entire anti-democratic movement, his fellow partisans erected an elaborate marble gravestone. A carved relief showed a fierce young woman brandishing a torch and setting another woman on fire, with the epitaph: "This is the memorial of good men, who for a brief time restrained the hubris of the cursed Athenian people." According to an ancient Greek commentator, the woman holding the torch is Oligarchy personified. Her victim is Democracy.

No trace of Critias' gravestone survives, and the only reference to it is in the marginal note of a manuscript. Some scholars have understandably doubted its existence. Surely, they argue, such a subversive object would have been built in secret, raising the question of how anyone could have recorded its content. Perhaps it is a bit of ancient fan fiction.

Still, real or invented, the monument encapsulates a major political phenomenon of classical Greece: oligarchy, or "the rule of the few." Oligarchs viewed themselves as a rarefied minority set apart by their breeding, wealth, manners, and superior education, which rendered them fit to rule. They were, in a word, the "good" of Critias' epitaph, as opposed to the unwashed majority—the demos—who lacked the training and discernment necessary for politics, and whose misplaced priorities could result only in hubris. It was the duty of every right-thinking member of the elite to hold back the tide of ignorance by whatever means necessary. (In ancient sources, the demos is often compared to a rushing river or inundating wave; the torch imagery of the tombstone, opposing fire to water, may therefore be deliberate.)

If the oligarchic sentiment embodied in Critias' monument seems extreme, that is because it reflects the bitterness of the struggle between democracy and oligarchy in classical Greece. It is well known that, beginning in the fifth century BCE, Greek thinkers devised a simple yet ingenious method for classifying constitutional types based on number. States could be ruled by the one (tyranny), the few (oligarchy), or the many (democracy). What is less understood is that democracy and oligarchy quickly became the two most common—and most violently opposed—forms.

Writing in the fourth century BCE, Aristotle observed in The Politics that "most constitutions are either democratic or oligarchic." It would not be an exaggeration to say that the choice between the two nearly tore the Greek world apart. Columbia University historian John Ma, in his recent history of the ancient Greek polis, refers to the period between about 460 and 360 BCE as a "Hundred Years' War" between democracy and oligarchy. Much more than tyranny, oligarchy was the great nemesis of popular government.

But oligarchy, no matter how ubiquitous, never had widespread appeal. Oligarchs were not a political "party" who alternated with democrats through peaceful transfers of power. Most constitutional changes were the result of a coup d'état. That was true even for the establishment of democracies. But whereas democracies, almost by definition, enjoyed the support of a majority of citizens, oligarchies often managed to persist in spite of their unpopularity.

Ancient Greek oligarchies are a case study in how skillfully designed institutions can preserve even the most authoritarian regimes. On the surface, oligarchy relied on a property requirement to ensure that only a minority of the population, perhaps the wealthiest 10–15% of the male citizen population, had access to political office. But oligarchy had a strong ideological class component, too. As Aristotle rightly observed, oligarchy and democracy refer to number, but actually entail the rule of the rich and the poor, respectively.

To maintain power, the oligarchic "gentlemen's club" employed a classic strategy of divide and rule. Leading lights from the opposition were co-opted into the regime. Publicly posted rewards for informants sowed doubt and division among would-be conspirators. Movement in the central spaces of the polis, where protest could spiral into revolution, was heavily regulated. And if the domestic scene grew turbulent, international allies stepped in to restore "order": the Spartans in particular were notorious for intervening to help shore up oligarchies.

One set of institutions thus dealt with the restive demos; another maintained tolerable relations within the ranks of the oligarchs themselves. Cooperation among these outsize egos could not be taken for granted, even though their survival depended on it. (If that sounds far-fetched, just imagine a government composed exclusively of the billionaires who flanked US President Donald Trump at his second inauguration. Mark Zuckerberg, Jeff Bezos, Tim Cook, Sergey Brin, and Elon Musk may benefit from the current order, but it is far from clear that they could cooperate long enough to sustain it.)

Equipped with this institutional order, oligarchy had a decent run. In the end, however, it could not withstand the spread of democracy. This may come as a surprise: a common narrative—promoted by, among others, the framers of the US Constitution—holds that the tumultuous direct democracies of antiquity inevitably succumbed to demagoguery and disorder. The history of Athens itself, as told by the historian Thucydides, has been used to bolster this story.

But contemporary scholars, drawing on new literary, inscriptional, and archaeological discoveries, increasingly agree that democracy did not begin and end with classical Athens. In fact, between the third and second centuries BCE, democracy may have been the most common form of government in the ancient Greek world. It was celebrated in painting, coinage, sculpture, and everyday discourse as the best way to secure freedom and equality for the free male citizen (slavery and gender-based exclusion being notorious features of the ancient Greek regimes that identified as "democracies"). Then as now, hardly anyone spoke well of oligarchy in public—in fact, Critias' tombstone, if it existed, would represent the sole attested instance of oligarchia depicted in art.

After some time in abeyance, the word "oligarchy" has come roaring back in the United States. It first reappeared on the political agenda in the 2010s, with the Occupy Wall Street movement and Bernie Sanders's 2016 presidential campaign, and gained wider currency in January 2025, when former US President Joe Biden warned in his farewell address of "an oligarchy … of extreme wealth, power, and influence that literally threatens our entire democracy." When people hear the term now, they are more likely to think of American tech bros than the Russian super-rich who accumulated their wealth by appropriating state assets in the 1990s.

In many ways, American society is ill-prepared for this moment. Despite the importance of oligarchy in Greek antiquity, where so many of the United States' political ideas originate, the issue was largely sidelined in constitutional debates of the early modern period. That is partly because the US Constitution's framers shifted the terms of discourse away from "democracy vs. oligarchy" and toward a contrast between the rule of law and the tyranny of the majority.

The Federalists, in particular, sought to downplay the loss in democratic power that might come with the incorporation of the separate states into the strong federal union they envisaged. As numerous scholars have pointed out, the proposed Constitution of 1787 was far less democratic than many state politicians and constituents preferred. But in the first of the Federalist Papers, Alexander Hamilton assured readers that "a dangerous ambition more often lurks behind the specious mask of zeal for the rights of the people than under the forbidden appearance of zeal for the firmness and efficiency of government." In other words, it was an excess of democracy, rather than its deficit, that would lead to political instability.

As a result, the Federalists were somewhat on the defensive when it came to touting the popular bona fides of the Constitution. James Madison admitted in Federalist 38 that the most common charges against the document were that it would end in monarchy or aristocracy; there was little danger, it seems, that it was too democratic.

But we can still draw on the Federalists for rhetorical ammunition against the idea that the US Constitution was not meant to be democratic at all. The claim that the United States is a "republic, not a democracy" continues to circulate, with the understanding that a majority vote should not necessarily prevail. As Madison explained in Federalist 10 and 14, however, what "republican" means in practice is primarily the use of representative, rather than direct, voting on legislation. In both cases, the method for tallying votes is majoritarian.

In fact, in an indirect allusion to oligarchy, Madison stated that "[i]f a faction consists of less than a majority, relief is supplied by the republican principle, which enables the majority to defeat its sinister views by regular vote." Madison seems incapable of imagining that a majority could be held hostage to a stubborn minority holdout.

Hamilton, while not necessarily a friend of democracy, also had sharp words for super-majoritarian, as opposed to bare majority, voting rules. "To give a minority a negative upon the majority," he wrote in Federalist 22, "(which is always the case where more than a majority is requisite to a decision), is, in its tendency, to subject the sense of the greater number to that of the lesser." Such a system aims "to substitute the pleasure, caprice, or artifices of an insignificant, turbulent, or corrupt junto, to the regular deliberations and decisions of a respectable majority."

And yet, the process that Hamilton disparaged is precisely how the US now regularly formulates policy, through the use of the Senate filibuster. Two-fifths of the Senate, potentially representing only about 10% of the total US population, can stymie legislation through its de facto veto. So long as this continues, America is effectively governed by an oligarchy, against the express intentions of the Federalists—men who were not all that enamored of democracy to begin with.

The US faces unprecedented challenges. In addition to Trump's daily attacks on the rule of law, American society must decide how to navigate the rise of AI, climate change, and runaway inequality, among many other issues. Progress will require, at a minimum, insisting on the basic rights of democratic majorities as guaranteed by the Constitution. To maintain the status quo is to do the oligarchs' work for them. In antiquity, oligarchy was imagined as actively setting fire to democracy. Today, as the meme goes, democrats sit in a burning building of their own making and declare, "This is fine."

4. 250 Years of American State Capitalism

Author: Shang-Jin Wei **Published:** Jul 2, 2026 **Link:** View Original

NEW YORK—As the United States marks 250 years since the signing of the Declaration of Independence this summer, there is no better time to reckon with one of the great myths of American economic life: that the country's prosperity was built on laissez-faire capitalism. From its very founding, the US has had a hybrid model in which the state directs, subsidizes, and occasionally bails out private enterprise in the service of national priorities. While the prevailing narrative has often extolled free markets, policymaking itself has been more pragmatic.

This story begins not with Barack Obama's health-care program, or even with Franklin D. Roosevelt's New Deal in the 1930s, but with the very first US administration, under George Washington. In 1791, Secretary of the Treasury Alexander Hamilton submitted to Congress what was arguably the first government document in world history to lay out a systematic, intellectual case for industrial policy. In his Report on Manufactures, he noted that infant industries in the US, particularly textiles and garments, could not compete effectively against established British manufacturers without government protection. He proposed the use of tariffs and subsidies to nurture the industries of the future.

Hamilton lost the immediate battle when a still agrarian-minded Congress tabled his report. But he ultimately won the war, because his ideas would go on to shape American economic policy for the next century. Henry Clay's "American System," along with the protective tariffs that helped industrialize the North and the federal land grants that built the transcontinental railroads, all bore Hamilton's intellectual fingerprints. Industrial policy, it turns out, was not invented in Brussels, Beijing, Tokyo, or Moscow.

This founding pragmatism never disappeared. During the 20th century, the Cold War forged the military-industrial complex. DARPA invented the internet, NASA developed and then spun off technologies that would shape entire industries, and federal procurement contracts sustained America's aerospace and semiconductor sectors for decades. The Interstate Highway System, built under Dwight Eisenhower, was not only one of the largest infrastructure investments in history; it was also a decisive federal subsidy to the automobile industry. And when the 2008 financial crisis hit, the government took equity stakes in banks and automakers, once again flouting free-market orthodoxy.

Yet the myth of laissez-faire America has proved remarkably durable, functioning almost as a national religion, even as the practice diverged from the creed. Moreover, the same orthodoxy, promoted through the US-dominated World Bank and USAID, sometimes served as a barrier to practical economic development in other countries.

In a recent research paper, "The United States as an Active Industrial Policy Nation," Jiandong Ju, Yuankun Li, and I document this gap between rhetoric and reality. We systematically analyzed all 12,167 congressional acts and 6,030 presidential orders issued between 1973 and 2022, using large language models to identify policies that deliberately altered the economic structure away from laissez-faire outcomes. The results are striking.

We identified 267 congressional acts and 187 presidential orders containing significant new industrial policies. That is more than nine new industrial-policy directives per year across a half-century period, and the pattern holds regardless of which party controlled the White House or Congress. Every president from Richard Nixon to Joe Biden promulgated new industrial policies. The difference between the two parties has been a matter of degree, not of kind.

Our research also uncovers some interesting features of US industrial policies. For example, we find that American policymakers have historically built guardrails into economic interventions. Some 59% of all industrial-policy laws and orders carry an explicit expiration date, with an average duration of roughly four years. Many are framed explicitly as pilot programs—experiments that can be wound down if they fail. Some include conditional triggers: “Buy America” procurement preferences, for example, apply only if the domestic price is no greater than 125% of the international market price. If the inefficiency becomes too large, the subsidy lapses.

As America turns 250, the pendulum has swung visibly back toward explicit state capitalism. The CHIPS and Science Act, the Inflation Reduction Act, and the aggressive tariffs deployed by both President Donald Trump and Biden do not represent major qualitative departures from American tradition.

But the current debate—between those who see creeping socialism and those demanding a more equitable distribution of the gains—risks overlooking a longer continuity. The US has never been a pure laissez-faire economy. From the very beginning, it has been a state that is willing to use its power strategically, what it regards as the failure of laissez-faire, while maintaining a competitive private sector as the engine of growth and innovation.

The real secret of American economic success over the past 250 years is not a dogmatic commitment to either markets or the state. It is a pragmatic willingness to use both. As the country looks toward the future, that pragmatism may be one of its most important inheritances.

5. Three Essentials of a More Equal World Order

Author: Jenny Ricks **Published:** Jul 2, 2026 **Link:** View Original

JOHANNESBURG—Brazilian President Luiz Inácio Lula da Silva, speaking at the first Global Progressive Mobilisation meeting in April, highlighted the connection between democracy and material dignity. If citizens do not believe that their lives will get better, democracy will continue to be challenged by populists and other authoritarians who falsely promise that only they can improve the lot of ordinary people.

There is likewise a growing awareness of the inequities embedded in the international order. Unless people who bear the costs of others' decisions and actions can influence the multilateral system and hold powerful actors to account, the international order will be viewed as unjust and illegitimate.

Fortunately, momentum is building for a global reordering. In May, United Nations Secretary-General António Guterres launched the Counting What Counts report, which addresses a long-standing blind spot in measuring progress. While acknowledging that GDP is still an important metric, Guterres underscored the need for a more sophisticated and humane accounting system that "consciously aligns metrics with our actual goals—not proxy measures that obscure or hide the challenges our world is facing."

But some worry that efforts to design a multilateral system around the global majority will end up preserving the existing architecture, just with new figureheads. To avert this outcome, the international community must focus on building enforceable mechanisms that can provide countries with greater fiscal autonomy.

What would that look like in practice? For starters, a binding UN framework for sovereign-debt restructuring would move rule- and decision-making from behind closed doors to rooms where all sit around the table. The current debt architecture leaves countries like Malawi spending 43% of its revenue on interest payments. That would change if debtors had a seat at the table.

Unlike the Paris Club of sovereign creditors, which China has not joined, or the G20's Common Framework for Debt Treatments, which has stalled because private bondholders' participation is voluntary, a UN mechanism could impose requirements that effectively bind all creditors to a single process. These could include automatic standstills on payments once restructuring negotiations begin, comparable losses across public and private creditors, and an independent debt sustainability assessment that counts borrowers' spending on health and climate as a senior, rather than subordinate, claim.

On the matter of taxation, negotiations on the UN Framework Convention on International Tax Cooperation are an important opportunity to set global rules. (While the OECD/G20 Inclusive Framework on Base Erosion and Profit Shifting made progress on adopting a global minimum corporate tax, American multinationals have since been exempted.) An ambitious convention would set a minimum effective corporate tax rate that counteracts profit-shifting and require all countries to exchange financial information automatically.

The convention should also establish a coordinated tax on extreme wealth of the kind Brazil proposed as part of its G20 presidency in 2024. A 2% annual levy on the world's billionaires would raise hundreds of billions of dollars for public investment. The tools exist; the problem is establishing who would control them.

Lastly, the international community needs a standing mechanism to test the legitimacy of sovereign claims before populations are forced to repay them. When a fund like Malaysia's 1MDB is looted of billions of dollars with the help of leading banks, which collect exorbitant fees for managing bond issues and don't look back, the loss falls on citizens. A UN-anchored process to identify and void debts contracted through fraud or against the public interest would shift the risk back to where it belongs: reckless lenders, not the people who were robbed.

None of this gets built from the top down. The same governments that advocate wealth levies in the global arena often impose austerity or avoid taxing the rich at home like India, Brazil, and France. A new international order must rest on efforts to close that gap, which require governments that lead with their principles, and citizens who shape those promises and hold their leaders accountable for meeting them.

Domestic movements also force governments to behave differently on the global stage, and the commitments made there stay confined to paper until there are constituencies at home to enforce them. Therefore, citizens must organize in capitals and conference halls at the same time, because an order that answers to them can be won only on both fronts.

The cleaner paying over half her wage to reach work, the farmer who cannot afford fertilizer, and the care worker whose labor is never reflected in national accounts are now recognizing that their seemingly disparate problems are a symptom of a structural flaw. The international order has devolved into a system that asks the global majority to pay for a set of rules they did not write. Designing a new one requires handing them the pen.

The choice is not between the old order and chaos, but between a new order built around the global majority and one that simply swaps in a slightly different set of figureheads. Citizen movements are not peripheral to this more equitable order; they are its driving force. These groups grasp the true dynamics of the world economy. The challenge now is to ensure that the people designing new international institutions do as well.

6. The US as the World's Robber Baron

Author: Dani Rodrik **Published:** Jul 2, 2026 **Link:** View Original

CAMBRIDGE—In a remarkable commentary published at the end of June, a former leading economist in the Trump administration acknowledges (and endorses) what many have suspected: The function of Trump's foreign economic policy is to act like a 21st-century robber baron.

The original robber barons were greedy industrialists who grew rich through monopolistic practices in the United States during the Gilded Age. In the late 19th century, men like John D. Rockefeller and Andrew Carnegie built massive fortunes by suppressing competition and charging exorbitant prices in industries such as oil and steel.

They were called robbers because exploiting your consumers to enrich yourself is probably the most denigrated business practice in the world. Yet that is precisely what the US has been doing over the past year and a half, boasts Stephan Miran, chair of President Donald Trump's Council of Economic Advisers until February 2026, who now serves on the board of the US Federal Reserve. Miran applauds this approach, arguing that it is working wonders for the US (never mind foreigners!).

Miran does not state his case this clearly, of course. Couching his argument in technical terms that obfuscate the full implications of his argument, he appeals to economists' idea of the "optimum tariff," which states that a country can make itself better off by applying protective import levies. Of course, such a strategy works only if a country is large enough to wield market power in the world economy—that is, if it acts as a monopolist. An optimum-tariff policy is the country-level equivalent of the strategy perfected by Rockefeller's Standard Oil in the 1880s.

By reducing demand for the goods sold by its trade partners (and equivalently reducing the supply of its own exports on world markets), the optimum tariff shifts world market prices in favor of the home economy, essentially making foreigners pay a large chunk of the tariff. When the tariff is set at the right level, whatever the country loses on the gains from trade is more than made up for in monopoly rents. The losers are the country's trade partners (and the world economy as a whole).

Although this is the archetypal beggar-thy-neighbor dynamic, Miran thinks it is a great deal for the US, because it kills two birds with one stone. Aside from the monopoly rents, the policy allows the federal government to reduce the inefficiencies associated with domestic taxes. Tariffs generate revenues for the treasury, which can be used to offset the revenue losses from reducing other taxes, such as those on income. The economic logic, in his mind, is impeccable.

One difficulty is that despite its size and apparent market power, the US may not have as much ability to make foreigners pay the tariffs as Miran thinks. Recent evidence suggests that the bulk, if not all, of US tariffs are passed on to domestic consumers.

But the real problem with Miran's argument lies elsewhere. It beggars belief to suggest that, in this day and age, it makes sense for a major power to extract tribute from other countries so blatantly. In offering his cold calculus, Miran seems not to have considered the loss in reputation and credibility that the US has suffered by acting like a robber baron. The fall in stature to international pariah may not be easy to price in dollars and cents; but it is substantial, nonetheless.

Miran may not care about America’s standing in the world, but his economic argument is also ultimately self-defeating. When economists discuss the optimum tariff, they typically hasten to add that it does not work in the long run. After all, more than one country can play the same game. The European Union and China each account for roughly similar shares of world trade as the US. When the US jacks up its tariff to improve its terms of trade, the world’s other trading powers can do the same. And since retaliation offsets the terms-of-trade effects but magnifies the loss in the gains from trade (leaving all countries—including the US—worse off), it can be an effective deterrent.

Miran claims that there was no retaliation when Trump first imposed his tariffs, which he sees as a strike against those economists who claimed the optimum tariff would fail. But while it is true that the European response was muted, China did in fact retaliate against the “Liberation Day” tariffs. Vowing to match every further tariff increase on the US side, the Chinese ministry of commerce said: “China will fight till the end if the US side is bent on going down the wrong path.” The US and China eventually lowered their tariffs.

Ironically, Miran’s willingness to say the quiet part out loud virtually ensures that others, including the EU, will choose to retaliate if the US persists with its optimum-tariff logic. It is one thing to claim that you are raising tariffs because of national-security concerns or because you want to reinvigorate domestic manufacturing. These are plausible domestic-policy objectives, even if one may disagree about the usefulness of import tariffs in achieving them. But it is quite another thing to say, as Miran does, that the goal is to squeeze monopoly rents out of foreign countries by manipulating their terms of trade. When that is so clearly presented as the objective, others will respond accordingly.

I was among those who argued against retaliation a year ago, because I believed Trump to be impervious to the damage high tariffs (at home or abroad) would do to the US economy. The logic of retaliation works only if political leaders understand the economic consequences of high tariffs and care about the gains from trade. The paradox is that by replacing Trump’s illogic with an economic logic that now fully justifies retaliation by other countries, Miran’s argument undermines itself.

A trade policy based on the optimum-tariff argument amounts to a naked assertion of economic power designed to harm others, including long-term allies in Europe and East Asia. Such an approach provides, at best, short-term gains at the expense of soft power and global leadership. It is also economically self-defeating and will inevitably backfire.

7. How Safe Are Today's Blockbuster Tech Stocks?

Author: Barry Eichengreen **Published:** Jul 3, 2026 **Link:** View Original

DARTMOUTH, UK—Questions about the financial implications of radical new technologies—AI, space travel, and their associated infrastructures, to pick a few—have led to a veritable analogy-fest. Is this a replay of the railway boom of the 1870s, which came to grief in the 1880s? A repeat of the electrification boom of the 1890s, which unfolded smoothly but took three decades to play out?

No analogy is perfect. Nor should we seek one: the most valuable insights often derive from how precedents differ from the case being considered as much as from their similarities.

In that spirit, an especially apposite case is Nippon Telegraph and Telephone's February 1987 initial public offering. In terms of its financial footprint, NTT's IPO put SpaceX's in the shade, amounting to 7–10% of then-existing Japanese stock-market capitalization (depending on what's counted), compared to SpaceX's 2.5% of current US stock-market capitalization. Take that, Elon Musk! Even if one adds the forthcoming OpenAI and Anthropic IPOs, the footprint of NTT's late-1980s offering remains overwhelmingly large.

Yet Japanese stock markets digested NTT's IPO with nary a hiccup. Not only were initial price expectations met, but NTT shares rose strongly from there, doubling in the first two months of trading.

One reason for investors' enthusiasm was that NTT was the dominant company in the Japanese telecom sector. It symbolized the country's transformation from a manufacturing powerhouse to an information society. It effectively monopolized telecom networks, data transmission, and digital connectivity. It was seen not just as a source of monopoly rents but as a bet on information technology generally. Even if fax machines and dial-up modems fell out of fashion, the company was well positioned to capitalize on what came next.

There was also pressure for institutional investors to load up on NTT shares. Just as managers of index funds today are compelled to buy SpaceX when the company is added to indices they are mandated to track, Japanese banks and insurance companies were obliged to buy NTT shares or be seen as taking a bet against Japan's information society. And, given the weight of NTT in the Nikkei, that meant betting against the Japanese stock market and the Japanese economy generally. In an environment where managers were punished for conspicuous losses and only mildly rewarded for successful bets, contrarian positions were taken at personal and institutional risk.

NTT shares benefited from a supportive macroeconomic and financial environment as well. Economic growth had slowed from the miracle period in the third quarter of the 20th century, but Japan was still regarded as a formidable competitor. It was less than a decade since the Harvard sociologist Ezra Vogel's bestseller Japan as Number One, a title not yet regarded with irony. The Nikkei Stock Average rose by 14% in 1985 and an astounding 43% in 1986. The Bank of Japan halved its policy rate from 5% in early 1984 to just 2.5% in early 1987, leading investors to seek alternatives to Japanese government bonds.

We now know that investor enthusiasm was overwrought. The Bank of Japan began raising interest rates in May 1989, in an effort to lean against financial excesses. The Nikkei peaked in December, and it was all downhill from there. Notably, however, NTT shares had already peaked in April 1987. By April 1988 they were down by 25%, and by April 1989 they had fallen by another 37%. In the 1990s, NTT shares hovered at around one-third to one-half of their bubble-era valuation.

The irony was that NTT performed well over this period. In the 1990s, it continued to expand into new forms of telecommunications and data services. But its business model was more capital-intensive than investors, envisaging disembodied digital technologies, had assumed.

Over time, moreover, the company faced new competition. Mobile telephony lowered entry barriers by eliminating the need for telecom firms to own the entire “digital stack” (physical as well as technological infrastructure). Thus, positive productivity performance did not automatically deliver super-profitability. And NTT shares had been priced for perfection.

There are several notable implications for today. First, a favorable macroeconomic and financial backdrop can support investor sentiment for a time, but that context can change abruptly—along with the sentiment. This observation is timely today, given how the Fed is poised to raise interest rates.

Second, institutional factors, such as the need for fund managers to track equity indexes, can reinforce market momentum. But momentum runs in both directions: it can perpetuate share-price increases but also reinforce share-price declines once the latter are underway.

Third, technological and market dominance is not forever. As technology continues to evolve, a first mover can experience competition that squeezes profits and investor returns in a manner incompatible with rich share valuations.

Again, no analogy is perfect. But this does not weaken their value as warning signs.

8. Europe's AI Dolce Vita?

Author: Kenneth Rogoff **Published:** Jul 3, 2026 **Link:** View Original

PARIS—In many respects, the European Union appears likely to become one of the AI revolution's biggest losers, with China and the United States leaving its economies in the dust. Even if European energy policies were not already making a massive data-center buildout prohibitively expensive, its fragmented capital markets would make raising the necessary financing extraordinarily difficult.

Europe's high tax burden, in particular, makes it harder to cultivate and retain AI superstars, much less attract them from abroad. Meanwhile, its ever-expanding regulatory state discourages business formation and entrepreneurship.

But even without the AI boom, Europe's aging welfare states look increasingly unsustainable. Economic growth has been glacial—Germany, the continent's largest economy, has effectively stalled—while rearmament is placing ever greater demands on public finances. Compounding these problems is a shortage of centrist political leaders capable of containing populist movements on both the left and the right, both of which would likely favor higher public spending if they gained power. As a result, a major crisis seems inevitable.

And yet, Europe does have one decisive advantage: its societies are far further along than those of the US and Asia in adapting to a world of abundance. Thanks to generous welfare states and tax systems that encourage individuals to seek refuge in non-market activities, Europeans are generally less career-oriented than most Americans or Asians, placing greater value on leisure, community, and culture. They take longer vacations, work fewer hours, and spend more time with family and friends—though this has not spared the continent from the global collapse in birth rates.

To be sure, the EU is currently pursuing abundance while sapping its economies of the dynamism needed to achieve it. If global real interest rates remain elevated for a prolonged period, its heavy debt burden will continue to act as a drag on growth. Given their strained public finances, it is far from clear how Europe's economies could absorb a major shock—whether cyberwar, conflict over Taiwan, or something else—without triggering another debt or financial crisis.

The good news is that debt crises eventually end. If AI ultimately delivers extraordinary productivity gains without giving rise to any of the catastrophic scenarios predicted by tech skeptics, Europe could emerge as the world's premier lifestyle destination. People may travel there not only to buy luxury goods, but also to learn how to make the most of their newfound free time.

If Europe can teach the world how to live in an age of abundance, it may have just as much to teach policymakers about governing one. Its value-added tax (VAT) system, for example, looks increasingly like a tax structure designed for a post-work economy—or at least for one in which consumption is taxed more heavily than labor income. Consumption taxes are generally more efficient and less distortionary than income taxes, and encourage saving, even if they can be somewhat more difficult to administer.

Moreover, VATs are more politically feasible than wealth taxes yet achieve many of the same objectives by reducing the purchasing power of capital. While a VAT can have regressive effects, these become much less concerning when the revenues are used to finance large transfers to low- and middle-income households.

Europe's long-standing political consensus in favor of income and wealth redistribution may prove an unexpected strength. If AI significantly reduces labor's share of income, societies already accustomed to redistributive policies may adapt more easily than those built around work as the primary source of income.

Immigration, however, remains a major challenge. Europe's relatively generous welfare states have found it much harder to integrate large migrant inflows than America's market-oriented system. In the US, many immigrants understand that they need to find work, as access to federal benefits is generally contingent on immigration status. In much of Europe, by contrast, asylum seekers and recognized refugees receive publicly funded housing and benefits, adding strain to increasingly overburdened welfare systems. With more time on their hands and fewer economic outlets, citizens may become even more resentful of perceived competition from immigrants, creating fertile ground for increasingly noxious politics.

For all of Europe's current energy problems, the picture could look very different in another decade or so. Assuming green technologies continue to improve, the continent may ultimately find itself on the right side of energy history. Conversely, America's renewed emphasis on fossil fuels under President Donald Trump could leave it with comparatively high energy costs, rather than the cost advantage it has long enjoyed.

Europe has another, subtler political advantage: it has not spawned the same class of tech oligarchs that the US has. That, along with the absence of a Trump-like political figure, may be one reason it has been somewhat more successful at preserving democratic norms.

None of this diminishes the formidable challenges facing Europe in an AI-centric world. Its relative economic decline may continue for years to come. Still, if AI lives up to its promise and ushers in an age of material abundance, Europe may discover that its greatest comparative advantage lies not in building the most advanced systems, but in demonstrating how to live well in the world they create.

Unfortunately, as chess players like to say, before the endgame, the gods have placed the middlegame. Europe may have compelling ideas about how to live in an age of abundance, but it must first find a way to get there.

9. From the American Revolution to Universal Suffrage

Author: Danielle Allen **Published:** Jul 3, 2026 **Link:** View Original

CAMBRIDGE—October 1765 found 30-year-old Charles Lennox, the Third Duke of Richmond, serving as Britain's ambassador to the Court of Versailles. Largely unknown to contemporary scholars, Richmond was already five years into a bitter feud with King George III and in his first major post, though one beneath his abilities and ambitions.

Within a few years, Richmond's political trajectory would intersect with that of Thomas Paine. By 1768, he had become Paine's first patron, when Paine was working as an excise officer in southern England and secretly writing radical political tracts. A decade later, Paine was in America, having written Common Sense, while Richmond had emerged as one of the most outspoken defenders of the American cause in the House of Lords and the first member of Parliament (MP) to recommend recognizing American independence.

On June 3, 1780, Richmond introduced what is widely considered the first bill proposing universal manhood suffrage. While the origins of that proposal lay in his earlier work in Paris, it was the American Revolution that made it necessary—not as a solution to the war itself, but as an answer to a deeper constitutional issue the war had exposed. Universal suffrage arrived on the world stage as a remedy for domestic tensions generated by Britain's imperial expansion.

Richmond's path to universal suffrage invites a reconsideration of how we understand the relationship between empire and popular sovereignty. While in Paris, he was tasked with resolving lingering issues from the Franco-British Seven Years' War: disputes over fishing rights in Nova Scotia, compensation for British merchants left holding now-worthless French currency, and, most importantly, the governance of the newly acquired Canada.

Richmond carried this work into 1766, when he briefly served as secretary of state responsible for parts of Europe and the American colonies. In that role, he advanced religious toleration of Canadian Catholics—the first such policy in British colonial history. At the same time, he began to consider how to link the colonies to the English government through the King, with support from local assemblies.

A serious student of political philosophy—especially Montesquieu—Richmond was a Whig in the sense that he treasured British liberties and believed British subjects deserved to have a voice in government through a legislature acting in conjunction with the King. For Canadians, that meant religious toleration and political representation.

With remarkable acuity, Richmond was sketching the principles that would later become the 1774 Quebec Act, which granted Canadian Catholics freedom of religion and restored French civil law in the colony. Although the Act alienated many American colonists, who saw the toleration of Catholicism as a betrayal of their British liberties, it also marked the emergence of the British Empire's defining strategy: governing through accommodation of local customs.

Yet the Quebec Act departed sharply from Richmond's vision in one critical respect. By 1774, he was in opposition, and Lord North's government had placed Canada under the control of a "governor-in-council," vesting authority in a governor and an appointed advisory body without an elected legislature. While supportive of the Act's toleration of Canadian Catholics, Richmond opposed the arrangement, arguing that it created an executive with unchecked power. In Parliament, he rebuked the government for repeatedly invoking "immediate necessity" to justify its constitutional innovations and allowing those emergency measures to become what he called an "engine of oppression and tyranny."

As conflict intensified in the colonies south of Canada, Richmond grew increasingly sympathetic to the colonists' claim that Parliament should not exercise legislative authority over them. While he still believed that the American colonies should remain within the British Empire, he was no longer convinced that Parliament held sovereignty over them. In his view, the Americans needed their own legislatures, much as the Canadians did. They should recognize the King as their sovereign, but not Parliament as their representative body.

This created a constitutional puzzle. In 18th-century Britain, sovereignty was understood to lie in the combined authority of the monarch and the legislature, an arrangement known as "King-in-Parliament." The Crown did not act independently of Parliament, and the idea that it might govern the colonies on its own did not fit within that framework.

By early 1775, even the parliamentary opposition agreed that the American conflict had triggered a constitutional crisis. Members of the opposition, however, were deeply divided. Richmond, for his part, decried "the desperate temerity of the Ministry" and wished that "all the real friends of England and of America" would "heartily unite to save the Nation."

Seeking to unify his faction, Richmond helped advance an expansive bill calling for the withdrawal of standing armies from the colonies, a promise not to tax subjects without their consent through provincial assemblies, and the restoration of trial by jury in civil cases. It was a serious attempt to avert war, one that might have laid the foundation for something like the modern British Commonwealth. But the King and his ministers adamantly opposed this solution.

The summer of 1775 brought one final attempt at reconciliation. At the urging of John Dickinson, the Continental Congress sent its Olive Branch Petition directly to the King, bypassing Parliament and asking him to dismiss his cabinet and repeal the laws to which they objected.

The Americans had concluded that George III was the true source of authority. But the King rejected that notion, declaring the petition an unconstitutional request to overrule Parliament. The laws in question had been passed by the legislature, and he was merely executing its will. The Privy Council soon issued a proclamation declaring the colonies in "open and avowed rebellion" and pledging to use "utmost endeavours" to suppress them.

For most Whigs, the King's supposed submission to Parliament was a farce. They believed influence ran in the opposite direction, as the Crown invested in elections to secure supporters in the Commons and dispensed lucrative "places" as patronage. By 1780, the government commanded the loyalty of about 200 of the House of Commons' 558 members. This arithmetic explained why the opposition seldom prevailed: it was consistently outspent.

When the King opened Parliament on October 13, 1775, he again insisted that the Americans must be suppressed. Reports from across the Atlantic, he claimed, gave him "the strongest Hopes of the most decisive good Consequences." Richmond rose to object, arguing that the policy of punishing the Americans had merely introduced "a new Cause of War and Revolt."

Turning the King's own language against him, Richmond invoked the phrase "bloody and expensive," which George III had once used to describe the war with France that he inherited in 1760. Now, it was applied to the civil war his ministers had provoked, in which Britain was "almost inextricably involved." The war, he warned, would exhaust the country's resources, leave it vulnerable to France and Spain, and bring "the most deplorable Calamities to the whole British Race."

He then pressed the constitutional point. The government's strategy left only two options: the complete subjection of the Americans or their independence. Each new measure stripped colonial liberties, and every military action destroyed the colonists' sentimental bonds with Britain.

Yet the British, as Richmond saw them, were defined by a spirit of liberty. Attempting to “break the Spirit of any large Part of the British Nation” should therefore provoke “Shame and Horror.” The colonies, he argued, should be preserved as societies of free people: British because they were free, and free because they were British.

A shift in policy was required. No legislation had ever described the relationship between the British Empire and the American colonies in positive terms, as one grounded in connection and freedom. But that was precisely what was needed. As he had once sought to clarify Canada’s place within the imperial system, Richmond now sought to clarify America’s. The Crown’s policy, he maintained, should be “to regulate, not to destroy.” Any victory achieved by stripping subjects of their constitutional liberties opened the door to the same degradations at home. The treatment of the Americans risked “establishing Precedents the most dangerous to the Liberties of this Kingdom.”

Richmond did not yet have a solution to this puzzle. He had, however, brought the problem into sharper focus. Given the structure of British constitutionalism, the war seemed to demand the subjection of the Americans to the authority of Parliament. But what the Americans wanted most was their own legislature. Preserving that constitutional order would paradoxically require limiting Parliament’s power over the colonies while giving the King a more direct relationship with them.

This, in turn, raised another conundrum. If Parliament gave up control over the colonies, what would prevent the King from overpowering its two Houses? Would maintaining America within Britain’s orbit unduly strengthen the monarch? Such an outcome would be unacceptable. Richmond needed to find a way to preserve, or even bolster, Parliament’s strength and independence from the Crown even while limiting the scope of its authority over the colonies.

In the summer of 1779, Richmond’s thinking began to crystallize. We know this from the marginalia in the books he was reading. These notes, which have never been published, capture the moment at which a modern conception of representation was born. Richmond was reading a remonstrance against George III that observed: “It is the misfortune of your majesty; it is the misfortune and grief of your People; to have a Grand Council [Parliament] and a Representative under an undue and dangerous Influence.”

He marked the sentence with an asterisk and wrote: “This is the real source of all the evils and danger with which the Nation is at present afflicted; no Remedy, therefore, can be so efficacious as a Reformation in that very point. There cannot be a legal government in this kingdom, without a due Representation of all the People.”

Only one in 75 people had the right to vote, Richmond noted, and not all who held that right exercised it. Parliament had become “rather a misrepresentation than a Representation of the People.” Every individual, he wrote, “ought to be esteemed in the State, what he is in the Christian church; viz a Member of it; because no inheritances of Land, Houses, etc., are to be esteemed so valuable as that common inheritance in the Laws, to which everyone is entitled.” On the next page, he added: “There can be no constitutional Authority without the free and uninfluenced assent of the Majority of the People.”

With that, Richmond arrived at a reconceptualization of the foundations of the British political system: the surest way to secure Parliament’s independence from the King was to extend the franchise. If every adult man could vote on behalf of his family, and if each MP owed his seat to a broad constituency rather than to a narrow, patronage-driven one, MPs could no longer be bought. Popular sovereignty would thus make it possible to bind a monarch to multiple legislatures across his realm without weakening them, while universal manhood suffrage offered a way to preserve British liberty at home amid imperial expansion.

Prompted by the American Revolution, Richmond gained insight into how executive power could be restrained. The broader the electorate and the more competitive the elections, the less likely corruption and authoritarianism are to take hold. Having reached this conclusion, Richmond introduced his bill for universal manhood suffrage in the House of Lords on June 3, 1780. In it lay the first conception of what would eventually become the modern constitutional monarchy.

Popular sovereignty, then, did not arise as the antithesis of the British Empire but as its foundation and anchor. By providing a means of checking executive power, it made imperial rule compatible with liberty. Paradoxically, the Empire became the vehicle through which popular sovereignty spread around the world.

10. The Real Threat to NATO

Author: Ahmet Davutoğlu **Published:** Jul 6, 2026 **Link:** View Original

ISTANBUL—As NATO prepares for its July 7–8 summit in Ankara, the alliance faces a bigger challenge than either Russia or China: its members no longer share a coherent understanding of the values, economic order, geopolitical vision, and legal principles it was created to defend.

Every enduring military alliance ultimately hinges on a deceptively simple question: What is it defending? Without a clear answer, it becomes reactive, defining itself by its adversaries rather than by a common purpose.

When NATO was founded in 1949, that purpose was clear. Emerging from the devastation of World War II, the alliance was established to defend what its founders called the “free world” against Soviet expansionism. More fundamentally, it sought to preserve a liberal international order built on four mutually reinforcing pillars: democratic governance, economic openness, the West’s geopolitical primacy, and international law based on the United Nations Charter.

Today, each of these foundations is under strain. Nowhere is this more evident than in the alliance’s political identity, weakened by democratic backsliding and rising authoritarianism. NATO may remain the world’s most powerful military bloc, but its moral legitimacy depends on whether its members continue to embody the democratic values they espouse.

The response of many NATO governments to Israel’s military campaign in Gaza has exposed the widening gap between the alliance’s stated values and its members’ policies. While the International Court of Justice and the International Criminal Court continue to examine allegations of genocide and other grave violations of international law, several leading NATO members—most notably the United States—continue to provide the Israeli government with political support and political cover.

But an alliance whose historical legitimacy is rooted in the postwar rejection of fascism and genocide cannot afford to appear selective in its defense of universal humanitarian principles. Moral consistency is not an ethical luxury; it is a strategic asset that NATO abandons at its peril.

The liberal economic order is also under growing pressure. Ironically, its greatest challenge has come not from NATO’s adversaries but from its own members, as protectionism, tariff wars, and the politicization of international trade have undermined the rules-based system that Western countries spent decades building and sustaining after 1945.

Meanwhile, the global economy’s center of gravity has shifted decisively toward Asia. When NATO was established, its members accounted for roughly two-thirds of world GDP. Their share has since fallen to less than half as Asia has emerged as the global economy’s principal growth engine.

The third pillar of the postwar order—geopolitical leadership—has become equally fragile. The Cold War provided NATO with a clear strategic framework. After the Soviet Union’s collapse, however, the assumption that US predominance would endure became conventional wisdom, underpinning successive rounds of NATO enlargement and reinforcing the belief that military superiority alone could shape international outcomes.

The war in Afghanistan exposed the limits of that assumption. Following the September 11, 2001, attacks on the US, NATO undertook the largest and longest military operation in its history. Yet despite two decades of overwhelming military and technological superiority, the Taliban returned to power. The lesson was not that force had become irrelevant, but that battlefield success cannot substitute for political strategy. Lasting security requires diplomacy, institution-building, regional engagement, and long-term political vision.

That lesson is even more relevant in today's multipolar landscape. While deterrence remains indispensable, Cold War frameworks no longer fit a world shaped by economic coercion, migration, energy insecurity, technological competition, and cyber warfare. NATO must therefore complement military strength with geopolitical foresight and sophisticated statecraft.

Europe's own strategic contradiction has become increasingly difficult to ignore. Ukraine, the Black Sea, and the Middle East now form a single, interconnected zone of instability, yet the European Union continues to exclude the one country positioned at the crossroads of all three: Turkey.

A Europe seeking strategic autonomy cannot afford to remain strategically fragmented. Finland and Sweden's accession strengthened NATO's northern flank, but Europe's southern security architecture now depends on integrating Turkey into the EU's political institutions as well as its security ones.

Lastly, the international legal order is increasingly giving way to great-power politics. The credibility of any alliance rests on its willingness to uphold the norms it proclaims. Yet US President Donald Trump's threats to take over Greenland—an autonomous territory of Denmark—challenged one of the UN Charter's core principles: the territorial integrity of sovereign states. When NATO's leading power threatens the sovereignty of one of its own members, the alliance's commitment to international law rings hollow.

These structural challenges are compounded by a widening rift over NATO's strategic purpose. To be sure, disagreements among allies are not new. The Iraq War, for example, deeply divided the US and its European partners, but both sides continued to regard NATO as indispensable for transatlantic security. Today's disagreements are more fundamental. Under Trump, the US has increasingly treated NATO as a transactional arrangement, making major foreign-policy decisions without consulting key allies.

The Iran war is a case in point. The conflict, which could reshape the regional security landscape and has profoundly disrupted the global economy, carries profound implications for every NATO member, yet the alliance itself appears to have played no role in the decision-making process. An alliance whose members can be drawn into a regional conflict they neither collectively chose nor politically endorsed risks undermining the mutual trust required for security cooperation.

Given that NATO's crisis is one of identity rather than capability, revitalizing it requires more than higher defense budgets or stronger deterrence. NATO needs a renewed normative foundation grounded in democratic legitimacy and human rights, a recommitment to international law, and an economic vision suited to an era of shifting global power.

These must not be regarded as separate agendas. Without a coherent strategic philosophy centered on democratic legitimacy, human rights, and the rule of law, NATO risks becoming little more than an instrument of shifting national interests. The alliance's future ultimately depends less on the external threats it confronts than on its ability to redefine what the transatlantic community stands for and what, ultimately, it seeks to defend.

11. There Is Only One Acceptable Path for Designer Babies

Author: Daron Acemoglu **Published:** Jul 6, 2026 **Link:** View Original

BOSTON—Designer babies who are genetically engineered for desirable health, physical, and intellectual features are now within reach using existing technologies, a prospect that raises far-reaching societal and ethical questions not unlike those associated with advances in AI. One difference, though, is that the institutions needed to open an ethical path for gene editing—by treating the technology as a public-health measure that should be available to everyone—may be easier to conceive than in the case of AI.

The big breakthrough for gene editing is no longer so recent. The outlook changed fundamentally back in the 2000s, and especially the early 2010s, with the development of CRISPR-Cas9 technology, which enables high-precision genetic engineering. The technique uses a guide RNA to locate a specific sequence in the genome of a living organism, where the Cas9 enzyme makes a cut for disabling or editing a gene.

The applications are vast. The technique can be used to turn off a disease-inducing gene, modify seeds and agricultural products, or design custom-made medicines and vaccines. It holds the potential to tackle inherited genetic diseases such as sickle cell anemia, as well as later-in-life, disease-inducing somatic mutations like those involved in cancer. It also raises the possibility of adding or removing genes at the embryonic stage, in vivo or in vitro, which is where the issue of designer babies comes in. Human genetic engineering could be purely somatic (affecting individuals during their lifetimes) or it could take the form of germline editing, altering the genome in ways that would be passed on to offspring.

AI itself is technologically complementary to gene editing, because it can sift through massive amounts of data to find gene combinations capable of changing not just disease potential, but looks, physical strength, and various dimensions of cognitive ability. But this potential raises obvious ethical issues. As in Aldous Huxley's Brave New World, designer babies could bring us closer to a genetically tiered society, where only the wealthy have the means to improve their and their progeny's cognitive and physical performance and lifespans. In this scenario, those with the money today could grow even richer and more genetically superior with each generation.

This scenario is not merely hypothetical. Embryo-selection services based on polygenic screening are already sold commercially to IVF patients, and advances in AI have made them even more enticing to those who can afford them. If current trends continue, we could end up with a cadre of billionaires and trillionaires who are intent on cementing their economic privileges with biological ones; worse, this could happen just as many other people are facing the prospect of AI-driven job displacement.

To prevent such a future, most people's first instinct is to ban germline editing and designer babies altogether. But this may not be the right response. After all, we already "design" our bodies and our children by means of vaccines and operations. Parents-to-be in the industrialized world (and increasingly in emerging economies) test for a variety of diseases, such as Down Syndrome, and can opt to terminate the pregnancy. The line between these interventions and genome editing is not hard and fast. Would editing genes to build natural immunity against smallpox be so different than injecting children with a vaccine?

In this issue of PS Quarterly—available exclusively to Premium subscribers—Danielle Allen, Sarah M.S. Pearsall, Steve Pincus, and other leading thinkers examine the impact, limitations, and legacy of America's founding document, and consider where US democracy is headed 250 years later.

The issue isn't so much about "interfering with nature" as it is about two other considerations. First, the implications of germline editing are poorly understood. Living organisms are constantly attacked by pathogens, and some genetic changes, especially those passed from parents to offspring, can create unforeseen vulnerabilities.

For example, the Chinese scientist He Jiankui created the first designer babies by editing the CCR5 gene to confer HIV resistance. But the same edit appears to increase susceptibility to other infections, such as West Nile virus and influenza. We know what smallpox vaccines do, both because of their simplicity and because we have more than two centuries of experience. But the same cannot be said of the far more complex and intrusive process of genome editing.

Second, vaccines are a public-health intervention, whereas genome editing, at least in the foreseeable future, will be available only to the privileged, who will propagate their advantages in ways that we have not yet imagined.

These two issues point to a clear set of guidelines for how we should approach germline editing. First, we must make certain that unforeseen consequences are limited in number and scope. This requires not just research by individual scientists and labs, but also public infrastructure to provide a rigorous testing and permission process that is even more stringent than what the US Food and Drug Administration (FDA) requires for drugs and vaccines.

Second, we must legislate and enforce the norm that germline editing should be treated solely as a public-health measure. No germline editing services should be purchasable in the private market, and any well-tested, fully understood genome-engineering intervention that does prove beneficial should be made available to all.

Implementing such guidelines isn't pie in the sky. We already have highly respected institutions with the relevant expertise, and norms within the scientific community are aligned with these bodies. The US National Academies of Sciences, Engineering, and Medicine and the FDA have both already published widely circulated reports and guidelines for research and practice in this area. Moreover, the 2015 International Summit on Human Gene Editing—which was convened by the US, British, and Chinese academies—adopted a hard line against germline engineering, especially the alteration of gametes and embryos that would generate heritable advantages for the privileged few. Subsequent summits in Hong Kong (2018), where the He case broke, and London (2023) then reaffirmed and refined that stance.

The fact that such bodies exist and have taken a proactive stand helps to explain why I see the challenge posed by designer babies as being somewhat more manageable than those associated with AI. The tragedy with AI is that we are on the cusp of similarly transformative developments, but with no equivalent bodies. Recently established AI safety institutes and European Union bodies lack the authority to influence the industry, and many individual scientists and labs remain oblivious to the societal effects that they may unleash.

We urgently need to build an ethical consensus on AI, not least because doing so could help us deal with the various symbiotic challenges that genetic engineering brings. Failing that, we will have traded future generations' inheritance for a mess of pottage.

12. The Democratic Turkey NATO Needs

Author: Özgür Özel **Published:** Jul 6, 2026 **Link:** View Original

ANKARA—When NATO leaders arrive in Ankara for their annual summit on July 7–8, they will be meeting in a country whose strategic importance is unquestioned, but whose democratic foundations are fracturing. Recep Tayyip Erdoğan has governed Turkey for more than two decades—longer than any elected leader in the history of the Turkish Republic.

Today, Turkey stands at an inflection point. Given the country's increasingly centralized and personalistic rule since 2003, the question is no longer whether change is needed, but whether citizens will be allowed to pursue it freely and fairly through democratic means.

With Turkey's immediate region riven by wars and instability extending from Ukraine to the Middle East, it is clear to almost every Turkish citizen that their country's future matters not only to them, but to global security. At the same time, many people in Turkey are fearful of their future, having lost confidence in a government that has struggled to provide economic stability, predictable governance, and confidence in public institutions. Inflation has devastated household incomes. Young people increasingly see limited opportunities. Foreign policy has become more transactional and less predictable. Confidence in the judiciary, the rule of law, and public institutions has steadily eroded.

The key question confronting Turkey today is one of legitimacy. Governments can sometimes survive economic downturns. But they struggle when citizens stop believing the political system is fair. Rather than competing on a level playing field, Erdoğan has increasingly relied on state institutions, particularly the judiciary, to weaken political rivals and preserve his hold on power.

Voters in Turkey have already signaled their desire for change. In the 2024 local elections, our party, the Republican People's Party (CHP), emerged as Turkey's leading political force. Rather than accepting the message delivered by voters, the government intensified pressure on its political opponents.

Our party's presidential candidate, Istanbul Mayor Ekrem İmamoğlu, who has defeated Erdoğan-backed candidates repeatedly in Turkey's largest city, has been imprisoned. More than 30 opposition mayors remain behind bars in pre-trial detention. Prosecutors are seeking a cumulative sentence measured not in years but in millennia. The government has even attempted to invalidate our party convention years after it was held in an effort to reshape the leadership of the main opposition. The distinction between legal process and political intervention has become increasingly difficult to discern.

In the days preceding the NATO summit, the government's increasingly defensive posture has been obvious. Authorities detained hundreds of innocent people in Ankara in sweeping operations ahead of the gathering. Officials describe these as anti-terrorism measures. Yet in a country where judicial independence has been severely weakened, such claims inevitably invite scrutiny. Reports indicate that those detained include activists, lawyers, journalists, academics, environmentalists, and elderly citizens.

The effort to manage appearances extended beyond arrests. Screens and barriers erected along parts of the route from the airport to the city center, reportedly to obscure visible signs of economic hardship, reveal a government more concerned with controlling perceptions than addressing underlying problems.

Erdoğan seeks to portray Turkey as stable, confident, and essential to Western security. At the Ankara summit he will emphasize Turkey’s geopolitical importance while presenting himself as indispensable in navigating an increasingly turbulent region. Yet governments secure in their legitimacy rarely feel compelled to treat peaceful dissent, civic activism, or the possibility of protest as threats to public order.

Merely holding power does not confer legitimacy. Erdoğan retains control of the state and its machinery, but his increasing reliance on judicial pressure, administrative coercion, and the seizure of businesses, institutions, and assets rather than democratic consent has cost him the confidence of millions of citizens.

This model of rule cannot be sustained indefinitely. Turkey has become deeply polarized and increasingly exhausted—socially, economically, and politically. The demand for democratic accountability has not disappeared. It has merely been deferred.

Turkey’s strategic importance is not in dispute. Its importance, both to NATO and within its region, stems not from its ability to solve every crisis, but from its position at the center of many of them—from Russia’s war against Ukraine to the instability stretching from Syria to Iran.

For that reason, Turkey’s political trajectory is not merely a domestic matter. A country of nearly 90 million people, a major military power, and a pivotal NATO member cannot indefinitely separate political legitimacy from national stability. Repression may create the appearance of order, but it cannot produce durable security.

Turkey’s allies must learn to look beyond the current government and the disorder it has caused, and engage not only with those who hold power today but also with the democratic future they no longer credibly represent. Governments and leaders come and go. Turkey and its people endure. And Turkey’s people are determined to build a country that is free and democratic at home, reliable abroad, and fully committed to the rule of law. That is the Turkey we are preparing to build: prosperous, confident in its institutions, and a strong, constructive actor in international peace and security.

13. How the EU Can Lead the Rest of the West

Author: Daniel Gros **Published:** Jul 6, 2026 **Link:** View Original

MILAN—At the World Economic Forum's 2026 meeting in Davos, Canadian Prime Minister Mark Carney described a "rupture" in the world order and called on middle powers to "act together." Whereas great powers can afford (for now) to "go it alone" in this new Hobbesian world, he warned, middle powers must come to the table or risk being "on the menu." But while some might see the European Union as a natural partner for such efforts, it appears to view itself as something more.

Rather than rallying partners from around the world, the EU has spent recent months asserting its economic might, which is formidable: though the European economy is somewhat smaller than those of the United States and China, it is several times larger than those of Japan, the United Kingdom, and India. Moreover, it is seeking to strengthen its own sovereignty, from the digital sphere to defense. This is not a bloc that is eager to settle for "middle power" status.

This response is wrongheaded. While Europe is not just another middle power, nor is it a "great power," which Carney defines as having the "market size, the military capacity, and the leverage to dictate terms" on the global stage, particularly when dealing with an extractive US and a coercive China. But Europe is the ideal candidate to lead the group of like-minded middle powers that Carney envisioned, not as a US-style hegemon, but as a primus inter pares (first among equals).

The list of potential partners is long. The closest ones are Switzerland, Norway, and the UK. But Canada and, farther away, Australia, Japan, and South Korea are also good candidates, as they are high-income, stable democracies that are typically aligned with the EU on issues related to multilateral rule-setting, supply-chain resilience, and digital governance. A group comprising these countries and the EU would boast a GDP larger than that of the US and combined manufacturing output close to that of China.

But such a group cannot spontaneously organize itself. The EU should thus act as a catalyst and leader of a Compact for Open and Resilient Economies (CORE). The first step is to convene a summit in Brussels focused on producing a pledge (a formal treaty is unnecessary to start) to consult one another before taking trade or industrial-policy decisions that might have a significant impact on other CORE countries.

The EU, in particular, would commit to solicit feedback from its partners before enacting relevant legislation. Moreover, it would allow CORE countries to participate (without voting) in some of the many working and expert groups that hash out the details of legislative and other proposals. The EU would make final decisions independently, according to its own internal procedures.

The EU's structure can accommodate such an informal and flexible arrangement. As Article 217 of the EU Treaty states, the "Union may conclude with one or more third countries or international organizations agreements establishing an association involving reciprocal rights and obligations, common action and special procedure." Agreements with close EU neighbors, such as Switzerland, reflect this principle. A more formal, albeit narrower, precedent exists in the field of research, with a number of non-EU countries participating in Horizon Europe as “associate members,” which contribute funding and help to design research programs.

Nonetheless, to make the CORE work, the EU would have to change some of its policies. Consider the Industrial Accelerator Act (IAA), proposed by the European Commission this past March. The IAA calls for giving preferential treatment to goods made in the EU—following the lead of China and the US—in order to avoid losing its industrial base to predatory competition. But the bloc’s share of global industrial output amounts to only about 15% (and declining), meaning that reshoring entire supply chains will be next to impossible.

A “made with Europe” approach, which treats inputs from CORE countries as equivalent to European goods, avoids this problem. After all, the CORE not only covers a much larger economic area; its potential members possess capabilities and resources the EU lacks. Australia and Canada have raw materials; South Korea produces chips; and Switzerland is a leader in biotech. A made with Europe strategy would also strengthen goodwill among partners whose combined markets remain vital for EU exporters.

One might argue that inputs from within the EU will always be more reliable than those coming from third countries. But the risk of supply interruptions from like-minded partners is minimal. The CORE countries would be aligned with the EU economically and geopolitically, recognizing that, acting alone, their leverage at the global level is minimal.

Another issue the EU would need to address is its new, highly restrictive regime for steel imports. As it stands, the new rules, which cut the quotas for tariff-free imports by half and double the tariff to 50%, apply even to like-minded trading partners with which the EU has free-trade agreements (except Norway). This should change, with CORE countries exempted from the new regime.

More broadly, the CORE would avoid such disruptive unilateral action by ensuring that consultation begins in a policy’s design phase. At the very least, this would help to minimize any decision’s disruptive effects on other CORE economies, whose goodwill is important for Europe. It might even open the door for more effective joint action that benefits all parties.

Europe faces a choice: either narrow its ambitions to a limited notion of sovereignty and an impossible vision of a solitary industrial revival, or lead the way in building a community of open, resilient, and like-minded economies. The goal is not to replace the US as global hegemon—an outcome that is neither possible nor desirable for the EU. Rather, it is to offer something our world of extractive superpowers badly needs: leadership without domination.

14. Europe Must Face the World on Its Own

Author: Joschka Fischer **Published:** Jul 6, 2026 **Link:** View Original

BERLIN—As the United States withdraws from Europe under President Donald Trump's second administration, it is not only reducing its military presence and casting doubt on its security guarantees, but also renouncing its de facto (but never formally declared) leadership of the geopolitical West. That means the US is shedding a political leadership role it has exercised within Western Europe since 1945, and within Europe overall since 1990.

The obvious corollary is that Europe will be on its own, left to resolve its geopolitical problems and challenges by itself. Yet providing its own geopolitical leadership is not something Europe has done since the beginning of the 20th century. Its efforts to rise to the occasion therefore merit close attention.

"Europe" does not mean only the European Union. The EU undoubtedly plays a central role in economic affairs, underpinning a common market and customs union, a shared currency and central bank, a supranational legal and regulatory framework, and, above all, robust external trading relationships. But NATO, even in its European and Canadian dimension alone, also remains indispensable to the continent's security—even if it will be far weaker without the participation of the world's premier superpower.

A big question remains, however: Who is supposed to lead this fragile, politically unfinished entity? No single European power has the means to do so on its own. None has the necessary scale in terms of territory and population, financial strength, or technological and economic potential.

Moreover, two other intangibles are required for effective governance: a long historical tradition of providing regional leadership and a population that is broadly committed to the European project. As matters stand, only France and Germany can be said to check these boxes. Most other member states might be able to check one, but not both. Without the Franco-German partnership, the idea of European leadership is dead on arrival.

But America's withdrawal from Europe poses a particular challenge for Germany, especially in the context of today's military buildup and the strengthening of neo-nationalist forces across Europe—including in Germany itself. For decades, the US military presence reassured many Europeans, not least Germany's former wartime adversaries, who feared a resurgence of German power. This factor, too, will be absent in the future, requiring Germany to show even greater sensitivity toward its own history. Leading without dominating will mean striking a careful balance.

Europe's progress has always been driven by joint initiatives, most of which were developed by France and Germany. Under pressure from Russian aggression—which has reached its full expression in the ongoing war against Ukraine—and an increasingly hostile US administration, the immediate priority is to create a European Defense Union. Yet given this need, and the indispensable role of Franco-German leadership in meeting it, the breakdown of the joint Franco-German Future Combat Air System (FCAS) project should be treated like a five-alarm fire. If that failure is a preview of what is to come, Europe is already doomed.

Competition is often said to be good for business. In the context of the Franco-German relationship, however, this is true only if competition is grounded in a solid foundation of mutual trust. Otherwise, it can all too easily become mutually destructive. Given the current geopolitical and strategic environment, that is the last thing Europe can afford.

Unfortunately, we now have politically weak governments on both sides of the Rhine. French President Emmanuel Macron has only about a year remaining in office, after which France may well elect a far-right Euroskeptic from Marine Le Pen’s National Rally party. And no one can say with confidence how long German Chancellor Friedrich Merz will remain in office, given his government’s dismal approval ratings and Germany’s equally troubling economic indicators.

Yet this is precisely the moment when Europe needs strong leadership in both Paris and Berlin. It will take ambitious, clear-eyed, proactive, and civic-minded politicians to launch and sustain the initiatives that this moment demands—starting with a defense union.

We Europeans have been at peace for more than 80 years. But we ought to have learned by now that history can be cruel and unforgiving. No one is coming to our rescue this time. We will have to save ourselves.

15. The World Cup as It Should Be

Author: Ian Buruma **Published:** Jul 6, 2026 **Link:** View Original

NEW YORK—With the 2026 FIFA World Cup, cohosted by Canada, the United States, and Mexico, in its knockout rounds, it's now win or go home. But as more teams are eliminated and the field narrows, the tournament looks increasingly like a success, despite many dire predictions.

There were good reasons to be pessimistic at the tournament's start. The prices for tickets—which swelled to more than $1,000 on average for group-stage matches in some cities and are substantially higher for prime knockout games—are beyond the reach of most soccer fans. The Trump administration has treated some competing countries with utter contempt. The Iran team was forced to go back to Mexico after every game. Omar Artan, a top referee from Somalia, was refused entry to the US. Many fans were denied visas.

Moreover, FIFA President Gianni Infantino is a megalomaniac who has put his face on global soccer in much the same way Donald Trump has done on US politics and the Washington skyline. The two men are kindred spirits with a weakness for hyperbole. Infantino declared this year's World Cup to be "the greatest event in human history." Not the French Revolution, Waterloo, or D-Day—no, a soccer competition. He also lobbied hard for Trump to receive the Nobel Peace Prize and, when that didn't happen, presented the US president with the inaugural FIFA Peace Prize.

Infantino, like Trump, also has a weakness for dictators and autocrats: Just look at the infamous photograph of Infantino grinning like a schoolboy with Russian President Vladimir Putin and Saudi Crown Prince Mohammed bin Salman at the 2018 World Cup in Moscow. But Trump appears to be his biggest catch. On one of his visits to the White House, Infantino said he felt "happy to be here, at home, if I can say that," to which Trump replied: "You are home." After attending Trump's pre-inauguration victory rally, Infantino exclaimed: "Together we will make not only America great again, but also the entire world."

The worry that this year's World Cup would be a Trump-Infantino clown show, with the US president hogging the limelight, or a festival of the oligarchs, with corrupt strongmen and their cronies enjoying soccer as US Immigration and Customs Enforcement agents rounded up the riffraff, was not ill-founded. But so far, this has not happened.

Yes, Infantino still flies around North America in a private jet to be in full view of the television cameras at almost every game. But Trump has not been seen at all (although he is scheduled to attend the final on July 19 in New Jersey and present the trophy to the winning team). And small US cities have been turned into venues for nonstop soccer parties, with fans from all over the world mixing with locals.

Players and fans from Algeria, Egypt, and Jordan, many of whom are of Palestinian descent, have also brandished symbols of Palestinian nationhood—something for which student protesters at US universities have been arrested. This points to another aspect of national soccer teams that is very much on display. Most of the best European teams, such as France, Spain, England, and the Netherlands, contain large numbers of immigrants or children of immigrants. Zion Suzuki, Japan's goalkeeper, has a Ghanaian father and was born in the US. The superb Morocco team, which recently beat Canada to reach the quarterfinals, consists mostly of players born abroad. If ever there was an example of the positive influence of immigration, soccer at the top level of clubs and national sides is it.

The “diaspora World Cup,” as Guardian sports writer Barney Ronay has called it, is on full show in middle America. And the local people, who otherwise may not have paid much attention to the tournament, seem to have embraced the event with gusto. People in Chattanooga, Tennessee, welcomed the Spanish team with pitchers of sangria and plates of tapas, while those in Lawrence, Kansas, greeted the Algerian team with cries of “Viva l’Algérie!”

Just as it is easy to get carried away and attach too much importance to who wins or loses the games, the consequences of these periodic international jamborees might be overstated. But the impact of the World Cup on the US is not insignificant. Most Americans have no experience of global sports—the baseball World Series is a US-Canadian affair. The intense but still entirely festive patriotism of Norwegians, Moroccans, Japanese, and many other nationalities has never been so visible to many Americans. This alone should make a slight dent in provincial American attitudes.

Then there is the sight of American minorities—Mexicans, Haitians, Ecuadorians, Senegalese, and many others—partying in huge numbers. Even if Trump wanted to get attention, this is not his scene. It is the very opposite. FIFA may be a corrupt moneymaking machine that is only too happy to sportswash authoritarian regimes. But that hasn’t stopped this year’s World Cup fiesta from going against everything Trump’s MAGA movement stands for. The tournament does not belong to Trump, or Infantino, but to the masses from all corners of the world who have claimed it as their own.

16. The Missing Ingredient for European Tech Sovereignty

Author: Giorgos Verdi **Published:** Jul 7, 2026 **Link:** View Original

BRUSSELS—In early June, the European Commission unveiled its Tech Sovereignty Package, a new policy agenda designed to strengthen Europe's strategic autonomy through investments in AI, domestic semiconductor manufacturing, cloud infrastructure, and open-source software. While ambitious, the package is not enough. To ensure that AI and digital technologies advance the European Union's economic and security interests requires confronting the root causes of Big Tech's dominance over Europe's digital economy.

The plan's objective—to reduce the EU's dependence on foreign technologies and, in turn, its vulnerability to external coercion—is laudable. Today, roughly 80% of the bloc's digital technologies are imported, primarily from the United States. This has created a power imbalance that US President Donald Trump's administration has not hesitated to exploit in pursuit of its political interests.

Yet the Commission's plan is unlikely to shift that balance. Consider one of the package's main goals: tripling the EU's data-center capacity over the next 5–7 years. While expanding computing capacity is important, it will do little to foster a competitive domestic ecosystem unless Europeans capture a greater share of the economic value generated by AI.

Three American companies—Amazon, Google, and Microsoft—currently control 70% of Europe's cloud market, while AI development is dominated by a handful of trillion-dollar US firms, including OpenAI and Anthropic, whose partnerships with Big Tech give them unparalleled access to capital and computing power. Without a concerted effort to tackle industry consolidation, most of the value created by Europe's data-center buildout will ultimately flow back to the US.

Even if the Tech Sovereignty Package succeeds beyond expectations and helps create a new generation of fast-growing European startups, Big Tech could still use its market dominance to acquire or otherwise eliminate these challengers. Between 2010 and 2023, Big Tech companies acquired nearly 100 AI startups. Among them was DeepMind, whose 2014 purchase by Google has been widely viewed as a strategic loss for the United Kingdom, where the company was founded.

Acquisitions are only one mechanism through which dominant firms protect their position. Self-preferencing, tying, and restricting access to critical digital infrastructure can be just as effective in suppressing potential rivals. Meta's recent attempt to block competing AI providers from accessing WhatsApp—a move that the European Commission swiftly reversed—illustrates how easy it is to undermine promising European alternatives.

The good news is that Europe already has many of the tools it needs to prevent these outcomes. The EU's Digital Markets Act (DMA), for example, prohibits gatekeeper platforms from engaging in unfair practices that stifle competition from European innovators.

But the DMA has not kept pace with developments in cloud computing and AI, and political pressure from the Trump administration has discouraged robust enforcement against US firms. As long as the law is enforced only half-heartedly, European innovators will continue to compete on an uneven playing field.

Merger control is another underused instrument. Existing competition rules and national-security screening regimes already allow EU governments to prevent acquisitions that undermine strategic autonomy. In May, for example, the Netherlands blocked IBM spinoff Kyndryl’s takeover of Dutch cloud provider Solvinity, citing risks to the public interest.

Other EU member states—and the European Commission—should follow this example and scrutinize acquisitions that risk absorbing Europe’s most promising tech companies. Last year, Apple reportedly considered acquiring the French AI startup Mistral. Although the deal never materialized, it served as a reminder that the EU must be prepared to intervene when takeovers threaten not only competition but also its technological sovereignty.

At the same time, the Tech Sovereignty Package itself should be more ambitious. Its centerpiece, the Cloud and AI Development Act, seeks to ensure that sensitive public-sector functions—particularly those related to national security and defense—rely on European providers. But its strongest requirements apply only to a narrow range of activities, while member states retain considerable discretion over implementation. Given many governments’ reluctance to provoke the Trump administration, this framework is unlikely to generate sufficient demand to foster a globally competitive European cloud industry.

Critically, Europe should also have the confidence to pursue a different innovation path from Silicon Valley’s highly centralized and resource-intensive model. A growing number of experts argue that today’s dominant AI paradigm may be approaching its limits, making it unwise for Europe to devote all of its resources to replicating it.

Instead, the EU should invest more heavily in areas such as physical, spatial, and so-called “frugal” AI, which aims to design systems that maximize impact while minimizing computational and energy requirements. Rather than simply imitating the American model, Europe must develop technologies that generate economic value, improve citizens’ lives, and align with its sustainability goals.

By recognizing that dependence on US tech giants is both an economic challenge and a strategic vulnerability, the Tech Sovereignty Package marks a welcome shift in the EU’s approach. But without equally ambitious efforts to curb market concentration and break Big Tech’s hold on Europe’s digital economy, it is bound to fall short.

17. In Praise of the World Cup's Little Guys

Author: Andrés Velasco **Published:** Jul 7, 2026 **Link:** View Original

LONDON — The inevitable was about to happen: Argentina would dispatch Cape Verde. But then, deep into extra time, wonder struck: Sidny Lopes Cabral, aged 23 but looking 17, took a pass on the left flank and, instead of lobbing the ball in search of a header, shifted direction (sending the defender skidding the wrong way) and let fly a curling wonder of a shot that ended in the farthest and most unreachable corner of the Argentine goal.

A tiny island state of around a half-million people, pitted against the world champion. A player who a few years ago was trundling the soggy fields of Germany's fifth division, now making football history. Even the most hard-bitten of Albiceleste fans had to admit it was a moment of beauty.

This World Cup began with a grudge: by expanding the field from 32 to 48 teams, too many minnows had been allowed in, muttered old-time football hands. Cape Verde? Curaçao? Haiti? Uzbekistan? Who had ever heard of these teams?

Yet Cape Verde was unbeaten in the group stage. Curaçao drew against an Ecuadorian squad led by Chelsea star Moisés Caicedo. The Democratic Republic of the Congo (a vast country but a minnow in football terms) managed to tie Cristiano Ronaldo's Portugal and gave England a run for its money.

And that was far from the end of it: Paraguay sent mighty Germany home; Morocco disposed of the Netherlands' clockwork orange; and Norway, which may be filthy rich but is still tiny, eliminated five-time winner Brazil. So far, this has been the little guys' World Cup.

In a world of great-power rivalry and hyper-scaling tech behemoths, you would be forgiven for thinking that the bulky bully always has the edge. But you would be wrong.

Start with business. A quarter-century ago, Google was a minnow; Meta and Tesla were yet to be born. One-third of the 100 largest Nasdaq-listed firms were not publicly traded in 2000. As the players sweat in the American heat, new companies are no doubt being launched that will one day displace today's hyper-scalers.

Which countries have been wild economic successes in that quarter-century? Little guys Singapore, Botswana, and the Republic of Ireland surely belong on the list. Relax the definition of wild success, and New Zealand, Panama, and Uruguay make the cut. Relax the definition of minnows (it has nearly 15 million people), and Rwanda earns the right to be included. And don't forget tiny Guyana, which, thanks to oil, has been growing at over 35% per year since 2020!

Small countries have the same advantages as small companies: they can be nimble and bold. In a world of polarization and political divisions, they often find it easier than the big guys to agree on common goals and adopt reasonable policies—especially when next door lie countries that are both large and threatening.

On the little guy's fate depends another crucial feature of life: uncertainty. We tend to think uncertainty is bad, with predictability implying serenity. But, again, that is not so. Uncertainty turns out to be like perfume: a little bit is often necessary, though too much courts disaster.

Imagine learning on the day you turn 12 that decades later you would be awarded the Nobel Prize. Would you still strive sufficiently to make the prophecy come true? Or imagine that on the same day you were told that at 15 you would be struck by an incurable disease. Would those three years be more enjoyable than if you had remained uncertain about your prospects?

As every student of game theory knows, nuclear deterrence is predicated on the existence of uncertainty. It is the chance, however small, that the other side will be crazy enough to press the nuclear button that keeps my side from threatening to do the same thing.

Competition in business operates on the same logic. A large incumbent firm may have the run of the market. But as long as there are few barriers to entry and the market remains what economists call contestable, the small probability that a small new firm will challenge keeps the incumbent from raising prices too much or becoming flabby and inefficient.

Successful democratic politics is also built on the chance that the little guy may beat the odds and succeed. If an incumbent party is doing so badly in the polls that the chances of reelection are nil, then its incentives to govern well become vanishingly small. If put in that position, more than a few politicians will choose to loot the state coffers and run.

A similar logic applies to those out of power. If I belong to a minnow opposition party, the small chance that we will be in power soon is what keeps me from proposing popular yet stupid policies that would bankrupt the state and wreck the economy. Should our party surprisingly find itself in office, we would have to deal with the consequences.

In the end, Cape Verde did not prevail. Another miracle of a shot gave Argentina the final lead. But never mind. Cape Verdeans had exulted in their two hours of hope. And so had the world. There is joy—and profit—to be had in the thought that the little guy can win.

18. Inside Ukraine’s Game-Changing Drone Industry

Author: Yuriy Gorodnichenko **Published:** Jul 7, 2026 **Link:** View Original

BERKELEY/KYIV—If necessity is the mother of innovation, Ukraine’s military technology industry, particularly drone production, is Exhibit A. When Russia first attacked Ukraine in 2014, drones were used mostly for reconnaissance. Ukrainian firms developed many models, but production was limited and mainly geared to the civilian sector. Today, Ukrainian drones are central to the country’s ability to hold off a much larger aggressor, and Ukraine’s development and procurement processes may hold lessons for NATO’s leaders as they discuss rearmament at their Ankara summit this week.

The rapid development of Ukraine’s defense industries since Russia’s full-scale invasion in 2022 was an adaptation to chronic shortages of munitions and other matériel. In 2022, Ukraine produced barely a thousand drones (volunteers imported about 9,000); by 2024, output had skyrocketed to 1.7–2.2 million. Another three million were produced in 2025, and seven million are planned for this year. There are now over 500 domestic drone producers. Some can produce roughly 1.5 million drones per year, and three are among the top 100 producers in the world.

The supply of drones to the army and the training of drone operators initially depended entirely on volunteers, such as Victory Drones. Even now, volunteers play a major role in providing drones and other supplies to the armed forces. For example, the Come Back Alive foundation plans to procure 16,500 long-range drones this year, worth $34 million.

The industry is highly decentralized and extremely heterogenous. Some producers are huge. The long-range Liutyi strike drone was developed by Antonov, the company that produced the world’s largest aircraft. Other producers assemble drones in kitchens and garages from components purchased on AliExpress and use 3D printers to make spare parts. Soldiers often update or repair drones themselves.

The products range from small reconnaissance devices and first-person-view (FPV) drones carrying the equivalent of a hand grenade, to large machines that can deliver several hundred kilograms of cargo to the frontlines or “sanction” Russian oil infrastructure, logistics, and military assets. Ukrainian firms also produce drone detectors, electronic warfare systems, and other anti-drone devices—from simple net throwers to automated systems that can locate and intercept enemy drones with little or no human intervention.

The spectrum of products meets diverse needs, from patrolling the kill zone at the frontline—currently about 50 kilometers (31 miles) wide—to destroying Russian supply lines (100–300 kilometers from the frontline) to hitting production facilities more than 1,000 kilometers inside Russian territory. Production of middle-range strike drones, interceptor drones, and land drones increased significantly in 2025 (during the first six months of 2026, Ukraine’s army implemented over 50,000 logistic and evacuation missions with land drones).

The industry is highly dynamic: constant communication between producers and army units means that prototypes are tested and deployed in a few months or even weeks. Although Russia often reverse-engineers Ukrainian technologies and starts producing drones at scale, Ukrainian military leaders claim to have 50% more FPV drones than the Russians.

That is no accident. Although the industry's initial growth spurt was truly grass-roots, government policies have since provided significant support. In 2023, the government created the Brave1 cluster, which unites producers, researchers, military personnel, and investors in order to streamline the production and delivery of equipment needed at the frontlines. The government provides seed grants to innovative projects, helps Ukrainian producers to register their innovations, and connects them with users of their products. Producers can also report bureaucratic obstacles.

In June 2025, the government launched the DOT-Chain procurement platform. Army brigades can place orders for munitions there, and the State Logistics Operator (DOT, which runs military procurement) can fill the orders. The platform includes a reward program: the more enemy targets a brigade destroys, the more additional drones it can receive from the government. As of February 2026, DOT-Chain offered some 470 products from 135 producers, including drones and electronic warfare systems.

A few months later, the government launched a special tax regime for defense producers called Defence City, offering tax breaks, support for relocation or protection of premises if needed, and a simplified export procedure. By June 2026, 31 companies with total revenue of about $2 billion had registered.

Restarting weapons exports, a step announced early this year, could also help Ukraine's military technology industry. Exports effectively stopped in February 2022, but in 2024 weapons producers started lobbying for reopening. With the government unable to procure everything producers can manufacture, exports would provide additional revenues to scale up production to meet Army demands.

Returning to the international market would also allow joint ventures with European producers to be established in Ukraine. To leverage Western capital and access to safe production, Ukrainian firms already have joint ventures with enterprises in Germany, Canada, the United Kingdom, and elsewhere. Localizing such ventures would keep human capital and technology at home.

This is especially important given the domestic industry's shortage of qualified personnel, particularly engineers. And localization is needed to address another major problem facing drone producers: reliance on imported components, which are sourced mostly from China. According to research by the Lviv-based IRON defense technology cluster, localization currently stands at 85% for frames and structural components, 14% for cameras, and 12% for engines. Some producers within the Brave1 cluster have started manufacturing cameras to replace Chinese products, while other firms produce drone-borne munitions.

The bigger problem is that drones are not a panacea. While a special army branch, Unmanned Systems Forces, has destroyed Russian assets worth $40 billion since it was established about a year ago, drones cannot replace personnel and do not make "traditional" weapons obsolete.

But even if drones are not a magic bullet, they have transformed geopolitics. When Russia uses drones to test the defenses of Poland or Romania, or fly over critical German infrastructure, neither NATO nor individual countries respond for fear of escalation. Similarly, Iran has demonstrated how low-cost drone-based warfare can upend conventional tactics.

Ukraine's rapid emergence as a leader in drone technologies can help NATO and Gulf countries defend themselves against Russia and Iran. But Ukraine urgently needs help, too. Drones are no substitute for the air-defense systems, long-range missiles, and other conventional weapons Ukraine needs to end the war.

19. Just Say No to Remote Work

Author: Michael R. Strain **Published:** Jul 7, 2026 **Link:** View Original

WASHINGTON, DC—My advice for the two million young people who graduated with bachelor's degrees over the last few months and are just starting their careers: Go to work—not just figuratively, but literally. If you have a job that allows hybrid work arrangements, do not use them. Instead, be at your desk five (or six!) days per week. And if your job is fully remote, start looking for a new one.

I was giving the same advice back in 2021, when millions of white-collar workers had decided that remote work was one feature of the COVID-19 lockdowns they wanted to keep. At the time, we didn't have much evidence on the labor-market effects of working from home. But we do now.

In a new study, economists Natalia Emanuel and Emma Harrington, the authors of In Person: How Working Together Fuels Creativity, Productivity, and Growth, and Harvard economist Amanda Pallais calculate that the unemployment rate among college graduates under 29 years of age was 1.3 percentage points higher in 2025 than in 2019 (just before the pandemic and the four-fold increase in people working remotely). Among older college graduates, the unemployment rate increased by 0.4 percentage points over the same period.

To explain this divergence, the authors compare the unemployment rates of workers in jobs that are easily done remotely (for example, software engineers) with jobs that are hard to do remotely (such asmechanical engineers). They find that remote work is responsible for nearly two-thirds of the unemployment gap between college graduates under 29 and older graduates. Moreover, their results hold up even when they control for each occupation's exposure to automation by generative AI tools.

These findings jibe with a second new study. Economists Peter John Lambert and Yannick Schindler examined four Anglophone countries, including the United States, and found that the rise of remote work after the pandemic led to a shift in both hiring and vacancies that favored more senior workers over those with just a few years of experience. Moreover, they show that the arrival and increased use of AI tools have had no effect on the decline in the demand for junior talent.

I hope these findings will serve as a source of motivation for young, college-educated workers. It is very much in their interest to go to work—physically. Employers are increasingly turning away from inexperienced workers for remote roles because such arrangements require relatively more supervision and greater effort to build new knowledge and skills. Meeting these needs is much harder—and therefore costlier—when a newly hired worker is at home on the couch, interacting with colleagues over Zoom.

With an in-person setting, by contrast, newly minted graduates will be faster to develop their emotional intelligence, which is crucial for success in many occupations. Reading body language and changes in facial expressions and tones of voice are crucial skills that cannot be easily learned over Zoom. Collegiality and group cohesion is best created through repeated physical interaction. For inexperienced workers trying to build professional networks and learn about new opportunities for advancement, unplanned meetings at the espresso machine or in the parking lot can be invaluable.

Yet many people in their early professional years are depriving themselves of these advantages. Some are doing so to maximize their leisure time or out of an exaggerated sense of the value they provide to their employers. But I suspect that the trend can largely be explained by something more prosaic: Employers often offer hybrid work as a benefit, so young workers take it. They should resist this temptation. Just because remote work is on offer doesn't mean it has to be used.

What about workers with more than a handful of years of experience? Here, the right solution for most may not be to revert to the world of 2019. In my judgment, the costs to workers of a hybrid arrangement can be substantially mitigated by strong existing workplace relationships built on sustained in-person interactions.

Unlike workers in their early 20s, more experienced workers often have actual responsibilities in their personal lives—caring for children or aging parents, for instance—that they must balance against their professional responsibilities. This is partly why people value remote work in the first place.

From the perspective of employers, hybrid work does seem to damage productivity less than fully remote work; and in some circumstances, it may even boost productivity. Remote work also has been very beneficial for people with disabilities. Employment rates for this group are much higher than in the years prior to the pandemic. The economists Nicholas Bloom, Gordon B. Dahl, and Dan-Olof Rooth find that the post-pandemic increase in work from home explains over two-thirds of the increase in full-time employment for people with disabilities. The rise of remote work is analogous to the adoption of a new technology that allows businesses to benefit more fully from the creativity, effort, and skills of people with disabilities.

Still, even for more experienced professionals, remote work has gone too far. The balance will shift back toward in-person arrangements if the labor market softens and the unemployment rate starts to rise.

Given the many risks and drawbacks, the message younger workers need to hear is not nuanced: Be physically present. Work hard. Knock on doors. Get to the office before your supervisor arrives, and don't leave work before he or she does.

First impressions matter, and like the background on a Zoom call, they can be blurred and distorted unless you are standing face to face.

20. Ruling Class Clowns

Author: James Livingston **Published:** Jul 8, 2026 **Link:** View Original

GAUCÍN—“Oligarchy” is by now a familiar name for the billionaire brethren who freely acknowledge the difference, indeed the conflict, between their interests and the general welfare, at least to the extent that the general welfare is assumed to derive somehow from political equality, itself a dividend of democracy. They and their accomplices drop any pretense to leadership in society or culture, notwithstanding their purchase of votes, gowns, galas, and news outlets. A century from now, most people will remember them as sociopaths whose claims on the future were both ridiculous and ephemeral—childish, in a word—because they wanted power, but not responsibility.

Our would-be overlords are quite candid in explaining how and why their great wealth entitles them to a higher standing and a louder political voice than citizens with less spending power. Having decided that political equality threatens their liberty, they are also plain-spoken in claiming that the consent of the governed—the principle of political obligation specific to modern forms of government—is an impediment to progress as they understand it. And if we are to take them at their word, progress for them means the socioeconomic and technological development permitted and required by “free markets.”

These oligarchs are often compared to the United States’ robber barons of the late-19th-century Gilded Age, who supposedly swashbuckled their way to vast fortunes by bribing public officials and exploiting workers, widows, and orphans. By inventing large corporations, the robber barons replaced healthy inter-firm competition with rent-seeking monopolies—“the trusts,” in the contemporary vernacular—like Standard Oil, American Telephone and Telegraph, General Electric, or US Steel.

But the comparison with the Gilded Age is unfortunate, even misleading, because the late-19th century was not, in fact, a moment of increasing inequality. Nor was it a moment of triumph for “big business”—or, to put it in the broader terms on offer from the late historian Howard Zinn, a moment of “the people’s” inevitable defeat at the hands of the powers that be. To be sure, the Gilded Age was a period of epic class conflict which sometimes devolved into violent armed struggle between capital and labor; but more often than not, from around 1880–1900, when only 10% of the labor force was represented by trade unions, workers emerged victorious in these confrontations. In fact, by every relevant measure, workers were winning the class struggle of this formative moment, at least until the very late 1890s.

According to the official reports of the US Commissioner of Labor, for example, labor prevailed in a majority of the strikes and lockouts between 1881 and 1905. Meanwhile, skilled industrial workers retained their control of machine production despite the best efforts of management to replace them. As a result, a remarkable shift in income shares from capital to labor took place—non-agricultural real wages increased as profits declined—over the furious objections of management. This shift of income shares is the exact opposite of what has taken place in the US and elsewhere in the age of neoliberalism (1973-present.)

But perhaps the most important difference between that period and ours is the outlook, the emergent world view, of the Gilded Age capitalists. Unlike today’s tech bros, they recognized that their profits were not self-evidently justifiable as the product of hard work, shrewd calculation, risk-taking, or superior intelligence. They understood, accordingly, that the question was not whether but how to reconstruct the market, which meant, they believed, how to regulate markets so that they would serve the general welfare. They had stopped assuming that their freedom was reducible to the natural right of property; as a result, the manipulation of market forces—whether by state regulation or workers’ organizations—no longer appeared to them as an infringement on liberty of contract, thus as a mortal threat to freedom as such.

This emergent worldview didn't amount to a new enlightened altruism, or "compassionate conservatism." By the mid-1890s, when farmers and workers seemed to have agreed that the capitalists in charge of "the trusts" were parasitic growths on the body politic, they could reach no other verdict. Enough capitalists understood that unless they conceded, then acted on, the insight animating the revolt of the masses—that the surpluses generated by modern industry should be shared by all social strata—they would forfeit any claim to legitimacy, and thus leadership, on economic, social, or political matters.

Again, the new dispensation was not altruism enabled by moral epiphanies or new philanthropic urges: it was a realistic assessment of what made for social mobility, and thus social stability, political consensus, and economic predictability, each a crucial component of rational market behavior in the long run. It was also a realistic assessment of who would win the class struggle in the short run. By the end of the 19th century, it was clear to all interested observers that market power did not automatically or even easily translate into political capital and cultural authority.

Unlike the oligarchs of our time, then, certain Gilded Age capitalists learned to become a ruling class. To borrow the lexicon of E. Digby Baltzell, they learned how to extrude from the ranks of both big and small business a trustworthy "goal-integrating elite" that in turn recruited intellectuals, journalists, academics, farmers, and trade unionists to its cause, thereby becoming able to mediate between social classes.

Their cause was "reform" in the broadest sense, because it began but could not end with the reconstruction of markets and the reorganization of the labor process, both made possible by the invention of new corporate legal forms. The cause of reform in this sense was social, ideological, political, even cultural, not merely economic, and was understood that way by all parties to the cross-class coalition responsible for the achievements of the Progressive Era during the first two decades of the 20th century. It entailed a renegotiation of class relations, a redefinition of work, a reorientation of liberalism, a realignment of parties, and a revision of gender roles (to begin with, a shift from the woman movement to feminism as the name of observable or desirable changes in women's social roles and standing).

The administrative state that was the legacy of this era (now sentenced to death by both the enemies of expertise and the friends of "free markets") was predicated on the shared assumption that markets were not self-regulating and that, if left unattended, market forces would destroy a society held together by commodity production and exchange. These unruly forces would be regulated, or managed, therefore, in the name of the general welfare.

The new institutions that served this purpose included the Federal Reserve System, the Federal Trade Commission, and the Food and Drug Administration. They were not subject to "elite capture" because they were, in part, the handiwork of a new goal-integrating elite that had a vested interest in the general welfare.

The ruling class that came of age in the Progressive Era was up against the robber barons of the Gilded Age. Like the oligarchs of our time, the robber barons understood market society as the site of plunder. The enlargement of their fortunes—and with it, their freedom—would, they believed, require the extraction of wealth from the majority, globally as well as locally, and would almost certainly mean the demise of democracy as the servant of the general welfare. Their reincarnation appears in the Patagonia-vested form of Silicon Valley oracles like Marc Andreessen, the billionaire venture capitalist who plagiarizes early 20th-century fascist manifestos because, as he gladly explains, he prefers not to inspect the contents of his own cranium.

The capitalists who understood that the promise of American life was not written on the bottom line knew what they were up against in the Gilded Age. Henry Lee Higginson, the Civil War veteran, investment banker, and tireless philanthropist, summarized that knowledge in 1915: "From 1868 until 1898 there were these constant frights and uncertainties, which gave gamblers a great chance if they could guess right, and which kept decent men in doubt and often in agony. They could not do business in a proper way, and I look back on all those years with horror."

The evident yet unacknowledged truth residing in the idea that we inhabit a new Gilded Age is not that the capitalists have again convened an all-powerful oligarchy bent on plunder, or that we, the people, are bound to lose to this malevolent cabal, in accordance with the iron historical logic espoused by leftist stalwarts like Zinn and the economist Thomas Piketty. It is that the robber barons of our time—"broligarchs" like Peter Thiel, media moguls like David Ellison, useful idiots like Curtis Yarvin, or omnicompetent buffoons like Elon Musk—now face the kind of anger, derision, and contempt that discredited the oligarchs of the Gilded Age and permitted the achievements of the Progressive Era.

The polling around the issue of AI is only the latest indication of contemporary revulsion against what today's robber barons say they want—more money, more power, more respect, and, ultimately, enough resources to secede from planet Earth. In fact, every poll taken since 2016, when US Senator Bernie Sanders entered the presidential primary, indicates that a cross-class, multiracial majority of Americans favors what Sanders himself calls democratic socialism. That majority is still too centrifugal to recognize itself as containing the elements of a new progressive coalition, but it is the unmistakable reality of our time.

This state of public opinion and electoral possibility would suggest the need for a new goal-integrating elite representing this variegated majority. It would proceed on assumptions similar to those that grounded its predecessor from the Progressive Era: that the general welfare is best served by a more generous democracy; that the conflict between oligarchs' interests and the requirements of the general welfare is therefore irrepressible; that markets are not economic externalities to which we must adjust our lives, but are rather cultural constructs subject to our social goals; that the question before us is not whether but how to reconstruct markets so that they allocate goods efficiently and equitably; and that the surpluses generated by such markets should be shared by all social strata.

At a time of unprecedented wealth concentration—when a single person's assets equal 1% of world GDP—providing for the general welfare becomes impossible. But the growing electoral salience of "affordability" reflects a widely shared concern that cannot be addressed without enlarging the scope of democracy. For that to happen, the new oligarchs will have to go the way of the robber barons—quietly or not.

21. How Vulnerable Are US Financial Markets?

Author: Dambisa Moyo **Published:** Jul 8, 2026 **Link:** View Original

LONDON—Despite heightened geopolitical tensions and growing economic uncertainty, US equity markets continue to reach new highs while defying historic valuation norms. At 41.97, the Shiller cyclically adjusted price-to-earnings (CAPE) ratio is near its record highest and well above its long-run median of roughly 16.

At the same time, the Buffett Indicator—the ratio of total US stock-market capitalization to GDP, widely regarded as a barometer of overall market valuation—is flashing red. A ratio of 75–90% is generally considered reasonable, while readings above 120% suggest the market is significantly overvalued. It currently stands at more than 230%

While sophisticated investors may not rely directly on these metrics, indicators like these nonetheless fuel growing concerns that financial markets have entered bubble territory. And elevated valuations are only part of the story: a range of debt indicators suggests that leverage across the financial system could have economic repercussions that have yet to be fully appreciated.

Current estimates, for example, suggest that the US stock-market rally is being fueled by more than $1 trillion in borrowed money. According to the Financial Industry Regulatory Authority (FINRA), US margin debt—the money investors borrow from brokerages to buy securities—rose by 54% over the past year, to a record $1.4 trillion. This leverage buildup is comparable in size to each major category of US consumer debt, including auto loans, student loans, and credit-card debt, leaving an already heavily indebted economy increasingly vulnerable to a severe market correction.

Alarmingly, many investors in leveraged exchange-traded funds (ETFs) may not fully understand that these products' daily rebalancing effectively leaves them with significant short-volatility exposure. In other words, they are implicitly betting that market volatility will remain low or even decline.

Should markets experience sharp price swings, however, leveraged-ETF investors could suffer heavy losses, forcing funds to rebalance in ways that amplify selling pressures. Leveraged ETFs could therefore exacerbate market instability in the event of a broader sell-off.

Private credit represents another major source of vulnerability. Outside the traditional banking system, a modern variant of what John Kenneth Galbraith called the "bezzle"—undetected fraud within the financial system—may be steadily expanding. Since much of the private-credit market remains outside the purview of regulators, the true scale of leverage and the associated risks are difficult to assess.

As a result, it is impossible to determine whether sufficient capital has been set aside to absorb losses stemming from growing leverage outside the traditional banking system. In his 2025 letter to shareholders, JPMorgan CEO Jamie Dimon noted that non-bank institutions now account for 64% of leveraged lending, up from 54% in 2010. Their share of mortgage originations has risen from just 9% to 77% over the same period.

As governments—including those of the United States, the United Kingdom, and Japan—increasingly rely on shorter-term financing, risks are mounting in fixed-income markets as well. In the US, roughly 20% of outstanding federal debt consists of short-maturity Treasury bills. Although this strategy reduces borrowing costs in the short run, it also exposes governments to greater refinancing risk if interest rates remain elevated or rise further.

Meanwhile, pension funds and insurers have reduced their purchases of long-term government bonds, with hedge funds taking their place. Because hedge funds tend to trade their positions more actively, this shift could fuel market volatility.

At least two developments could trigger a sharp market correction, with potentially damaging spillovers into the real economy. The first is a rise in interest rates. Although inflationary pressures stemming from the Iran war appear to have eased, considerable uncertainty remains over whether the interim US-Iran ceasefire and ongoing negotiations will ensure the uninterrupted flow of energy supplies through the Strait of Hormuz.

More fundamentally, the recent decline in oil and other commodity prices may not be enough to bring inflation under control. Notably, Minneapolis Federal Reserve President Neel Kashkari recently said he expects one additional interest-rate increase this year, citing inflationary pressures beyond oil and gas.

The second potential trigger is the concentration of risk in US equity markets. Given that expectations for US investment, economic growth, and equity valuations are increasingly tied to AI, disappointing quarterly earnings or guidance from a major AI company could spark a market-wide sell-off. The fact that Apple, Alphabet, Amazon, Meta, Microsoft, Nvidia, and Tesla—the so-called “Magnificent Seven”—now account for nearly one-third of the S&P 500’s total market capitalization has created a financial-market vulnerability.

To be sure, the Magnificent Seven alone are expected to spend $725 billion on capital expenditures in 2026, primarily on data centers and AI infrastructure—equivalent to more than 2% of US GDP. But while this investment drive is likely to boost US growth, it also carries significant downside risks. Should these plans be scaled back—or should AI fail to deliver the productivity gains investors expect—the resulting shock could be difficult to contain.

22. Mamdani's American Dream

Author: Slavoj Žižek **Published:** Jul 8, 2026 **Link:** View Original

LJUBLJANA—Francis Fukuyama's 1990s end-of-history thesis was the last big narrative that united the liberal-democratic West. Western liberal-democratic welfare-state capitalism, he argued, was the best possible social system. The only remaining question was empirical: Precisely when and how would other parts of the world arrive at the same model?

This narrative disintegrated after 2001, and we gradually entered the era of brutal pragmatism. The only consistent narrative was provided by Trumpian and European racist nationalists: The developed Christian West is an historical exception, a wealthy, freedom-loving civilization whose survival is under permanent threat from immigrants, "cultural Marxists," LGBT+ partisans, and self-blaming Europeans.

Of course, the "woke" narrative that nationalists reject is even narrower in its appeal than their own. It focuses on a single racist/sexist enemy and doesn't even try to mobilize the majority, because it is concerned with elevating select groups, like trans people, to the exemplary status of the oppressed. Since most people are not trans, this narrative offers the majority only guilt, rather than a broadly appealing positive vision.

But something new has emerged with the rise of so-called democratic socialists in the United States. In an address marking the 250th anniversary of the Declaration of Independence, one of their leading exponents, New York City Mayor Zohran Mamdani, offered a radically different narrative about what the US is and could be. Mamdani won his office not by promoting academic woke purism but by focusing on local issues and the underprivileged, with calls for free childcare and buses, rent control, and accessible health services. And in his July 4 address, he translated his politics into a global vision:

"We are told that America is exceptional because we are richer, stronger, more powerful than everyone else … The truth, my friends, is that America is exceptional because here, nothing is fixed into place. The frontier may be closed, we may have walked on the moon, but the work of fulfilling the values first enshrined in the Declaration of Independence—that work endures, my friends, and it belongs to us all. It belongs too to our newest Americans, those standing here with me today, all of whom were recently naturalized. Nearly a decade ago, I too felt what you feel—the joy of no longer being just a New Yorker, but an American too. You each hold a special power. The power to determine what America means."

Mamdani's vision is, of course, ideological. It presents a simplified picture, not the unvarnished truth. What matters most is that it challenges the populist narrative head-on, as evidenced by the right's hysterical attacks on Mamdani. In his own July 4 address, President Donald Trump was obviously thinking of the New York mayor when, making a hash of history, he claimed that: "Communism is a mortal threat to American liberty. It is the greatest threat to our country, including World War I, World War II, Pearl Harbor, or even 9/11."

But equally notable is that Mamdani has also drawn fire from some radical leftists. In response to his praise of the Declaration of Independence and the US Constitution, Jacobin published a commentary with the headline: "Burn the Constitution Once Again." As the tagline explained, "The Constitution didn't stop Trump—it made his reign possible."

There is obviously merit to such arguments. As the Federalist Papers show, the founders' greatest concern was to curtail popular influence. That is why the Constitution established an Electoral College and other institutional impediments to political majorities.

America's founders were the oligarchic elite of their day. George Washington was one of the wealthiest men in the colonies. In the first couple of elections after the founding, only a small fraction of citizens voted. A decidedly WASP (white Anglo-Saxon Protestant) document, the Constitution protected slavery. Even Irish-Americans were long excluded from sensitive posts in the state administration.

For a certain brand of leftist, however, even the Frankfurt School was a reactionary plot. The dominant right-wing populist narrative blames woke ideology on Antonio Gramsci and especially on Herbert Marcuse and Theodor Adorno. Yet some on the left, such as the Villanova University philosopher Gabriel Rockhill, dismiss Western cultural Marxism as a CIA-backed anti-Communist movement designed to discredit "actually existing socialism." In both cases, one should heed Jean-Paul Sartre's observation that a text attacked by both sides—whether the US Constitution or One-Dimensional Man—is probably on the right track.

In this context, Mamdani's address was a perfect example of ideology in the positive sense of that term. It overturned the rightist vision of the US as an elite bastion that is threatened by outsiders, and presents it instead as a place that is strong enough to accept and give a chance to the world's poor, exploited, and oppressed. Mamdani sees the very feature that rightist populists perceive as a threat to American identity—openness to outsiders—as the source of American exceptionalism. The US is a wealthy symbol of hope because it has given generation after generation of immigrants a chance to succeed.

Some leftists would, of course, claim that this dream is a lie, that the oppression of the lower classes, racial minorities, and newcomers has never let up. But issuing that charge is like firing a blank round: it has no force beyond fueling a form of self-criticism that leads nowhere. Mamdani's vision may not reflect the full, unvarnished truth, but it is truer than the Trumpian alternative, and it has the potential to mobilize millions—as has already happened since his election.

Such is Mamdani's genius. He has made the poor and tired newcomers the only authentic agents of the American dream. Trumpian populists are primitive provincials and happy slaves to mega-corporations. Today, it is democratic socialists who embody the emancipatory core of the American dream. They are the true American patriots.

23. Reinventing Development Finance

Author: Yusuf Murangwa **Published:** Jul 8, 2026 **Link:** View Original

KIGALI—Developing economies face a confluence of pressures, each of which implies large investment needs. They must create jobs for rapidly expanding populations, boost resilience to external shocks and the effects of climate change, and build the infrastructure required for long-term growth. And yet, with concessional finance shrinking, borrowing costs ballooning, and international capital markets remaining volatile, funding these investments is harder than ever.

To pursue ambitious development agendas with limited fiscal space, developing economies must borrow more strategically. Rwanda's recent financing partnership with the World Bank Group shows what this could look like. Instead of relying solely on traditional concessional loans, Rwanda has worked with the Bank to leverage policy-based concessional finance and risk-sharing instruments to unlock private capital at scale and on affordable terms.

Rwanda has forged a development path few thought possible. Over the past two decades, its annual GDP growth has averaged more than 7%, owing to prudent macroeconomic management, long-term planning, and sustained, well-executed reforms. Looking ahead, the government seeks to create 250,000 quality jobs each year, accelerate industrialization, and modernize agriculture.

Achieving these goals requires substantial long-term finance. That led the World Bank Group and Rwanda to turn conventional thinking on its head by using scarce concessional resources to catalyze private investment through a policy-based guarantee provided by the International Development Association (IDA), the World Bank's concessional lending arm. This structure helps lower financing costs by reducing risk for investors and extending maturities.

Rwanda further strengthened this mechanism by combining the IDA first-loss guarantee with a second-loss guarantee from the World Bank's Multilateral Investment Guarantee Agency. Taken together, these innovative instruments cover 95% of debt-service obligations on the underlying commercial loan, significantly lowering perceived risk and crowding in private lenders and reinsurers.

The result is private financing on close to concessional terms, an arrangement that preserves limited public funds. In April, Rwanda secured a €213 million ($243 million) commercial loan from Société Générale and Standard Chartered with a 15-year maturity and six-year grace period. At a time of heightened global volatility, this guarantee-backed financing package reduced borrowing costs by roughly 300 basis points compared to prevailing market conditions. Equally important, principal repayments begin only after Rwanda's existing 2031 Eurobond matures, reducing refinancing pressures and helping improve the country's debt profile.

This affordable capital has enabled reforms that will strengthen the Rwandan economy's foundations and enable private-sector growth and job creation. They include measures to bolster fiscal sustainability, modernize frameworks for public-private partnerships, lower the costs of doing business, improve labor-market matching and skills development, and spur growth in sectors such as agriculture, livestock, and sustainable land management.

The first transaction may be followed by a second one to mobilize the remainder of the approved $450 million financing envelope. For Rwanda, accessing the total amount would pave the way for even more investment in infrastructure, health, education, agriculture, social protection, and industrial development—all of which would have a positive impact on people's livelihoods and living standards.

But the significance of this pioneering approach extends beyond one country—in fact, it has now been used in Angola, Argentina, Côte d'Ivoire, and Panama, as well as Rwanda. Many developing economies are similarly grappling with limited access to capital markets, shrinking fiscal space, and lower levels of concessional financing. In such an environment, mobilizing more money requires policymakers to make better use of available resources.

Development finance must evolve from a model centered primarily on direct public lending to one that leverages public funds to reduce risk, attract private investment, and improve financing terms for countries undertaking credible reforms. This is particularly important for countries seeking to manage their liabilities and debt-service obligations more effectively, and to reduce their exposure to refinancing risks.

Rwanda's experience shows what is possible when sound economic management and strong institutions are coupled with innovative financing. Of course, no single model will work for every country. But the underlying idea is broadly applicable: when concessional resources are used strategically—and paired with sound economic policies—they can have a significantly greater impact. To transform their economies and fulfill their development ambitions, low-income countries must embrace innovative financing solutions that can do more with less.

24. How Argentina Can Protect Its Resource Wealth

Author: Conrado Tenaglia **Published:** Jul 8, 2026 **Link:** View Original

BUENOS AIRES—Argentinian President Javier Milei has launched a reform program inspired by the free-market economist Friedrich Hayek, at the heart of which is the development of Argentina's vast energy reserves. Milei and his supporters hope that this will reverse almost a century of economic decline. But while translating natural-resource wealth into long-term prosperity is certainly possible, it is not easy, as the many countries that have fallen victim to the "resource curse" can attest.

Argentina is home to Vaca Muerta, which holds the world's second-largest shale-gas reserves and fourth-largest shale-oil reserves. It also sits, with Bolivia and Chile, within the "lithium triangle," which contains roughly 60% of the world's known reserves of a critical input for the batteries needed to power electric vehicles, enable large-scale grid storage, and more.

These resources are not controlled by the federal government. Instead, they belong to the provinces where they are located, per a 1994 constitutional amendment. The constitution, modeled largely on that of the United States, also states that any power that is not explicitly delegated to the federal government belongs to provincial governments. This means that provincial governments can collect royalties on the extraction of oil, gas, lithium, and other resources from their territories.

The resulting revenues are becoming substantial. Neuquén, where most of Vaca Muerta is located, currently collects approximately $350 million per month in royalties, and provincial authorities expect that figure to rise to $500 million once Argentina's liquefied natural gas export infrastructure is fully developed—as early as 2031. That would amount to roughly $6 billion annually for a province of just over 700,000 inhabitants.

Similarly, Catamarca, home to some of Argentina's largest lithium deposits and just 430,000 people, expects royalty revenues to reach approximately $350 million annually by 2031.

To translate these windfalls into sustained prosperity, Argentina's provinces should look to the examples set by Alaska, Chile, and Norway, all of which created a sovereign wealth fund (SWF) to manage their resource revenues.

Alaska offers perhaps the most instructive model. When it became the 49th US state in 1959, the magnitude of its oil wealth remained unknown. The discovery of oil at Prudhoe Bay in 1968 transformed the state's finances almost overnight, with lease sales generating hundreds of millions of dollars. But the revenues were spent quickly, raising fears that the bonanza would be squandered.

The solution came in the form of the Alaska Permanent Fund. Established through an amendment to the state constitution in 1976, the fund kept a significant portion of the state's oil revenues beyond the reach of day-to-day budgetary spending. Alaskan law requires that 50% of mineral royalties be deposited into the fund, and its principal cannot be spent without the direct approval of voters. Since the first dedicated deposit was made in 1977, the fund has amassed nearly $90 billion in assets.

Norway’s experience is also worth revisiting. Its SWF is often presented as a model of careful planning, but the reality was more complicated. In the decades after one of the world’s largest offshore oilfields was discovered off Norway in 1969, the country grappled with many of the institutional and political challenges typically associated with resource booms.

Norway’s SWF was established in 1990 to shield petroleum revenues from short-term political pressures, protect the economy from price fluctuations, and ensure that future generations would benefit from the country’s resource wealth. Oil revenues would be channeled directly into the fund and, crucially, the money would be invested exclusively abroad. Moreover, spending would be subject to strict parliamentary oversight. Today, 30 years after the first deposit was made, Norway’s SWF is the world’s largest, with assets of roughly $2.2 trillion.

Chile—one of the world’s largest copper producers—similarly struggled with volatile commodity revenues. In 1987, it created the Copper Stabilization Fund to serve as a kind of buffer, accumulating funds when prices were high and closing gaps when they were low. Twenty years later, this was replaced by the Economic and Social Stabilization Fund—a comprehensive SWF, rather than a commodity-focused buffer.

All these efforts reflect a commitment to converting today’s resource windfalls into enduring financial assets. Alaska, Norway, and Chile recognized the dangers of Dutch disease, whereby commodity booms drive up the currency’s exchange rate, undermine competitiveness, and ultimately leave economies poorer. Argentina should learn from their experience, rather than from its own mistakes.

In his 1941 short story “The Garden of the Forking Paths,” Jorge Luis Borges imagined a garden in which infinite futures coexist, each accessed through a different choice. Argentina’s provincial governments must now make their choice: leverage today’s resource wealth to strengthen institutions and deliver lasting prosperity, or squander their windfalls. As in Borges’ garden, once a path is chosen, changing course is not easy, if it is possible at all.

25. Concessional Finance Is Needed More Than Ever

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JEDDAH—The global development landscape is under severe strain. Aid flows are tightening, financing gaps are widening, debt pressures are mounting, and climate shocks are hitting vulnerable economies with growing intensity.

For many of the Islamic Development Bank's 57 member countries, these converging forces are limiting investment in resilience, human development, and long-term growth. The challenge is particularly acute for our 27 least-developed members and those affected by conflict and institutional fragility.

With heavy debt burdens eroding fiscal space for spending on health, education, and infrastructure, governments are forced to divert scarce public resources away from development priorities. The consequences extend far beyond national borders, threatening the prosperity and stability of our entire community.

At a time of shrinking aid budgets and rising vulnerability, the case for concessional financing has never been stronger. International research has consistently shown that investments in resilience generate significant long-term economic and social returns by reducing the human and financial costs of future shocks, which in turn enables countries to protect hard-won development gains and invest in the future. Yet concessional finance has not kept pace with rapidly growing needs, particularly in countries grappling with debt distress and climate-related risks.

Meeting this challenge requires more than additional resources; it calls for sustainable, predictable financing mechanisms capable of mobilizing collective support. The Islamic Development Bank recently took a vital step in that direction by establishing its IsDB Concessional Fund (ICF). Launched at the second AlUla Conference on Emerging Market Economies in Saudi Arabia in February, the ICF was created as a means to respond more effectively to the evolving financing needs of our least-developed members.

The ICF provides an institutional framework for South-South solidarity within a member-owned, multilateral development bank. Its distinctiveness lies in its governance—it is Shariah compliant—and burden-sharing model, through which members with greater financial capacity support those facing severe development constraints, thereby promoting stability, opportunity, and regional cooperation.

But such a model is viable only when underpinned by institutional commitment. For that reason, the IsDB pledged to allocate 10% of its annual financing approvals to concessional operations and 20% of its annual net income to the ICF through 2030. By investing its own resources alongside member contributions, the Bank has established a credible, replenishable platform that expands the fiscal space available to our least-developed members while creating a stronger foundation for collective action.

The value of this approach is already becoming evident. For many low-income countries, high debt burdens mean that ordinary lending terms are not suitable for financing urgent development priorities. Concessional finance helps bridge that gap. The IsDB's inaugural portfolio of more than $137 million illustrates how concessional finance can support investments in climate resilience, social infrastructure, and human development.

But no replenishment mechanism can succeed through institutional commitment alone. It also depends on the willingness of member countries to invest in a shared future. Notably, the ICF's early progress has been made possible through the support of member countries, including Algeria, Kuwait, Saudi Arabia, and Qatar. Their contributions signal confidence in the ICF as a transparent and accountable platform for channeling concessional resources where they are needed most.

That same spirit of solidarity also shaped the discussions at the IsDB's annual meetings in Baku, held in June under the theme "Regional Integration for Sustainable Prosperity." Participants repeatedly highlighted a simple yet critical point: investing in the resilience of our least-developed member countries is not only a development imperative but also a prerequisite for regional stability, connectivity, and shared growth. As the ICF enters its first replenishment cycle, that principle must continue to guide our collective efforts.

The creation of the ICF builds on the IsDB's longstanding commitment to development cooperation by becoming a platform for concessional support. Against this backdrop, the first replenishment cycle represents an opportunity to turn a shared understanding of member countries' interconnected challenges into concrete, sustained action.

At a time of rising development pressures and scarcer concessional resources, the need to scale such mechanisms is clear. All IsDB member countries should support the replenishment effort now underway. By doing so, we can expand the ICF's reach, strengthen climate resilience, and help place vulnerable economies on a firmer path toward stability, sustainable development, and lasting prosperity.